



COMPLIANCE MANUAL

PREFACE

It is with great pleasure and a sense of accomplishment that this Compliance Manual is introduced that serves as a comprehensive guide for administration and management of EPFO's Compliance functions at the field level.

The Compliance Division, through its field functionaries strives to secure compliance of the provisions of the EPF & MP Act, 1952 to extend social security to the intended beneficiaries. In order to do so, various instructions have been issued from time to time which guide the officers and officials entrusted with the compliance function. The Compliance manual, in your hand, not only consolidates statutory provisions, Head Office instructions, and court interpretations at one place in ready- to -refer form but also offers an evolutionary perspective on compliance and addresses emerging challenges in the evolved landscape.

By providing a standardized and comprehensive reference document, the aim is to maintain uniformity, transparency, objectivity and fairness in a manner that fosters trust and excellence. Roles and responsibilities have been clearly demarcated.

It is expected that this Compliance Manual shall serve as a valuable resource in your journey to ensure a secure and prosperous future for all the EPF beneficiaries across the nation.

Compliance Division

Employees' Provident Fund Organization

Head Office, New Delhi

Date: 5th February, 2024

ACKNOWLEDGEMENT

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PART A : CHAPTERS

CHAPTER 1 : APPLICABILITY

1. Applicability

1.1 Application of the EPF & MP Act, 1952

The Act extends to the whole of India.

1.1.1 Mandatory Application

- i. To every establishment, which is a factory, engaged in any industry specified in Schedule-I and in which twenty or more persons are employed [Sec 1(3)(a)].
- ii. To any other establishment employing twenty or more persons or class of such establishments which the Central Government may, by notification in the Official Gazette, specify in this behalf [Sec 1(3)(b)].
- iii. Provided that the Central Government may, after giving not less than two months' notice of its intention so to do, by notification in the Official Gazette, apply the provisions of this Act to any establishment employing such number of persons less than twenty as may be specified in the notification. In case of 'Cinema Theatres,' the Central Government has fixed the required employee strength at five (5) for the purpose of coverage under the Act. The Central Government has also applied the EPF & MP Act, 1952 to all the establishments, employing ten or more persons and covered under the provisions of the erstwhile the Jammu and Kashmir Employees' Provident Funds and Miscellaneous Provisions Act, as it stood before its repeal by the Jammu and Kashmir Reorganization Act, 2019, with effect from 1.1.2020.
- iv. Mandatory application of the Act is, however, subject to the provisions contained in Section 16 which allows for exemption from the application of the Act itself.

1.1.2 Voluntary Application

- i. Notwithstanding anything contained in Sub-Section 3 of Section 1 or-Sub-Section 1 of Section 16, where it appears to the Central Provident Fund Commissioner, whether on an application made to him/her in this behalf or otherwise, that the employer and the majority of employees in relation

to any establishment have agreed that the provisions of this Act should be made applicable to the establishment, the CPFC may, by notification in the Official Gazette, apply the provisions of this Act to that establishment on and from the date of such agreement or from any subsequent date specified in such agreement [Sec 1(4)].

ii. Three scenarios may emerge here:



Figure 1 : Scenarios for Establishments applying u/s 1(4)

iii. As can be observed, application from the employer is not an essential requirement; CPFC's satisfaction of consent of employer and majority of employees is the essential condition. In case of voluntary coverages under section 1(4), application of the Act can only be from the date of agreement, or some subsequent date specified in the agreement. There cannot be any retrospective coverage under section 1(4). 'Notification in Official Gazette' is an essential requirement for application of the Act under section 1(4) cases. Till notification is issued, the establishment is technically free to withdraw its application.

1.1.3 Reduction in Strength

It has also been made clear under Section 1(5) of the Act, that once an establishment is brought under the purview of the Act, it shall continue to be governed by the Act notwithstanding that the number of employees at any time falls below twenty (five in respect of Cinema Theatres).

1.1.4 Clubbing

- i. **Branches and departments of an establishment should be clubbed together for the purpose of determining the employment strength.**

In accordance with **Section 2A** of the Act, where an establishment consists of different departments or has branches, whether situated in the same place or different places, all such departments/branches should be treated as part and parcel of the main establishment for the purpose of application of the provisions of the Act.

- ii. **Coverage of establishments by virtue of having a Common Provident Fund with another establishment.**

Where immediately before the Act becomes applicable to an establishment, there is in existence a Provident Fund, which is common to the employees in that establishment (which is coverable) and employees in any other establishment (which is not coverable), the Central Government may, by notification in the Official Gazette, extend the Act to such establishment which is not otherwise coverable under the Act, in accordance with the provisions of Section 3 of the Act.

1.2 Exemption from the Act

1.2.1 The Act shall not apply to:



Figure 2 : Exemption from the Act u/s 16(1)

- 1.2.2 Present clauses (b) and (c) have been inserted under section 16(1) vide Act 33 of 1988 w.e.f. 01.08.1988. By virtue of these provisions a large number of Departmental Undertaking and

Statutory Bodies have gone out of the purview of the Act. These exemptions are automatic and no notification or order to the effect is required to be issued. However, Government of India, Ministry of Labour vide its letter number S-35025/15/88-SS-II dated 06.01.1989 (**Part D/Circular No. 47**) has clarified the position as under in case of such establishments:

“There may be establishments which employ large number of casual/contingent staff, who are not entitled to the benefit of provident fund or pension. The casual/contingent staff of such establishments will continue to be covered under the Act, but their regular employees who are entitled to the benefit of provident fund/pension should be excluded from the purview of the Act.”

- 1.2.3 The Central Government can also exempt any class of establishments from the Act by notification under section 16(2) of the Act for some specified period retrospectively or prospectively. Section 16(2) provides that if the Central Government is of the opinion that having regard to the financial position of any class of establishments or other circumstances of the case, it is necessary or expedient so to do, it may, by notification in the Official Gazette, and subject to such conditions, as may be specified in the notification, exempt, whether prospectively or retrospectively, that class of establishments from the operation of the Act for such period as may be specified in the notification.

Several notifications had been issued under section 16(2) from time to time exempting various class of establishments. The last notification under this section was issued on 14.5.2010 for establishments registered under the Societies Registration Act, 1860 (corresponding laws) exempting these, subject to conditions, for the period 1.4.2010 to 31.3.2015 [SO 1431 dated 14.5.2010]. There is no such notification in currency since 1.4.2015 issued under section 16(2) granting exemption to any class of establishments from operation of the Act.

While deciding date of applicability of the Act to establishments where the dates are going back before 03/2015, notifications issued under this section should also be kept in view.

1.2.4 **Scope of Section 16(1)(b) of the Act**

Clause (b) of sub-section (1) of Section 16 provides for exemption to establishments belonging to or under the control of the Central Government or a State Government while clause (c) contemplates exemption to any other establishment set up under any Central, Provincial or State Act, subject to conditions specified therein.

Establishments set up under Central, Provincial or a State Act may be identified easily. However, the same cannot be said of establishments belonging to or under the control of the Central or a

State Government. There is no test/clue in the Act to identify establishments belonging to or under the control of the Central or a State Government.

The issue has been dealt with by the Hon'ble Supreme Court in ***Regional Provident Fund Commissioner v/s Sanatan Dharam Girls Secondary School and Ors [(2007) 1 SCC 268 : (2007) 1 SCC (L&S) 167]***. While clarifying the meaning of 'belonging to or under the control of', the Hon'ble Court has held as under:

"In our view, the two words used in the said section have different connotations. The words "belonging to" signifies ownership i.e., the Government owned institutions would be covered under the said part and the words "under the control of" signifies control other than ownership since ownership has already been covered under the words "belonging to". It must be also noted that the two words are separated by the word "OR" and therefore these two words refer to two mutually exclusive categories of institutions. While the institutions "belonging" to the Central or the State Government would imply the control of the State but the privately- owned institutions can be "under the control of" the Government in various ways.

.....

The word "control" has not been defined under the EPF Act, 1952. However, this Court in Shamrao Vithal Coop. Bank Ltd. vs. Kasargode Panduranga Maliya, (1972) 4 SCC 600 at page 604 has cited with approval the meaning of the word "control" as it appears at page 442 of Words & Phrases Vol.9, Permanent Edition as under:

"The word "control" is synonymous with superintendence, management or authority to direct, restrict or regulate."

In the case of State of Mysore vs. Allum karibasappa, (1974) 2 SCC 498 at page 501, this Court defined the words "word control" as under:

"The word "control" suggests check, restraint or influence Control is intended to regulate and hold in check and restrain from action."

Hon'ble Supreme Court in *Pawan Hans Limited and Ors vs Aviation Karmchari Sanghatana & Ors* [AIR2020SC564] dealing with the same issue has observed as under:

“This Court in Regional Provident Fund Commissioner vs Sanatan Dharam Girls Secondary School laid down a twin test for an establishment to seek exemption from the provisions of the EPF Act, 1952.

The twin conditions are:

First, the establishment must be either “belonging to” or “under the control of” the Central or the State Government. The phrase “belonging to” would signify “ownership” of the Government, whereas the phrase “under the control of” would imply superintendence, management, or authority to direct, restrict or regulate.

Second, the employees of such an establishment should be entitled to the benefit of contributory provident fund or old age pension in accordance with any scheme or rule framed by the Central Government or the State Government governing such benefits.

If both tests are satisfied, an establishment can claim exemption/exclusion under Section 16(1)(b) of the EPF Act.

Applying the first test to the instant case, the Central Government has a 51% ownership in the Appellant-Company, while the balance 49% is owned by the ONGC, a Central Government PSU.

As per Section 2(45) of the Companies Act, 2013, a “Government Company” means any company in which not less than 51 % of the paid-up share capital is held by the Central Government. Since 51% of the shares of the Appellant-Company are owned by the Central Government, the first test is satisfied as the Appellant-Company can be termed as a Government Company under Section 2(45) of the Companies Act, 2013.”

1.3 Schedule of Industries/Classes of Establishments

The Act is applicable to factories engaged in industries specified in Schedule-I of the Act and to establishments/classes of establishments notified by the Central Government. All notifications issued till date are contained in **Part – C** of the Manual.

1.3.1 Coverage of Establishments

- i. The Act comes into operation by its own vigour and discovery of the establishment by the department is no requirement for application of the Act to the establishment from the date of eligibility. Hon'ble Supreme Court has held so in ***Associated Industries (Pvt) Ltd vs Regional P F Commissioner, Kerala [1963(2) LLJ 652(SC-5M)]*** and several other judgements.
- ii. The Field Offices should however ensure that all coverable establishments are brought under the purview of the Act promptly. For this purpose, data triangulation could be of great help. Till the time some arrangement for exchange of data is made centrally, information should be collected from relevant agencies such as ESIC, Factories Department, Labour Department, Chamber of Commerce, Trade Unions, MCA portal, UDAISE portal FSSAI and Railways portal etc by the Field Offices.
- iii. The data collected from these agencies should be matched with the information of establishments already covered under the Act to gather information of eligible but uncovered establishments. This exercise may be conducted preferably on quarterly basis so that effective and timely action could be taken to extend the provisions of the Employees' Provident Funds and Miscellaneous Provisions Act, 1952 to such establishments.
- iv. As the establishments are expected to register themselves on their own, in case of establishments not registering on their own under the EPF & MP Act, 1952 despite being coverable under the Act, the RPFC/APFC-in-charge should take immediate steps to contact and persuade such establishments for registration through Shram Suvidha Portal. If any such establishment is still not coming forward for coverage under this Act on its own in spite of persuasion made by the office, permission from CAIU should be obtained and then the Enforcement Officer may be deputed to verify the position to bring the establishment under the ambit of the Act from the date of eligibility in order to ensure extension of social security benefits to the employees of such establishment.

1.3.2 Registration

Depending on its type, an establishment can register under the Act using any of these online portals:

Portal URL	Type of Establishment	Remarks
MCA Portal http://www.mca.gov.in/	All Companies	w.e.f. 15.02.2020
Shram Suvidha Portal https://registration.shramsuvudha.gov.in/user/login	Any other type of establishment	

- i. Options are available for the employer to apply online under the following conditions:

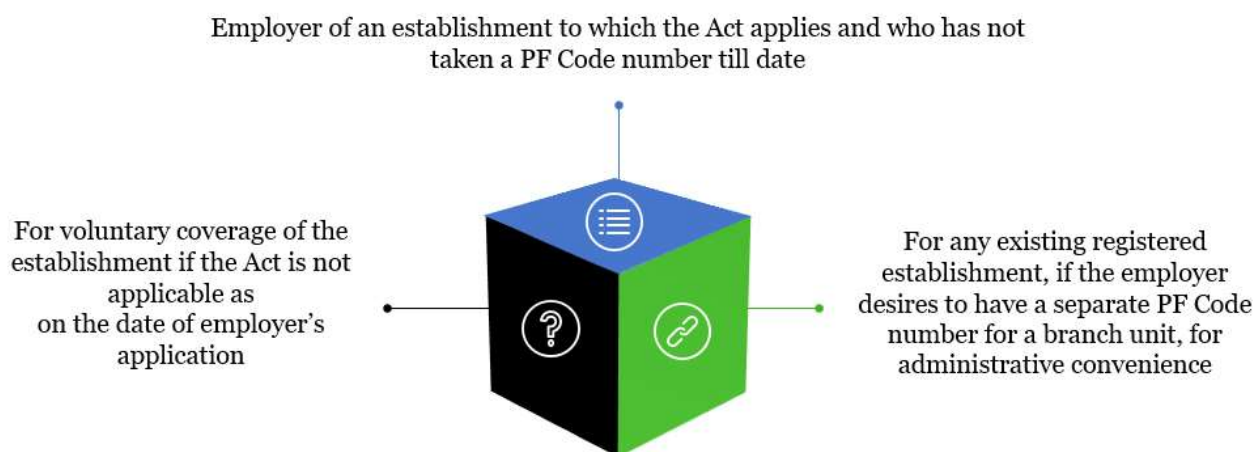


Figure 3 : Options for Employers for Online Application

- ii. While filling the form the employer has to upload documents related to the establishment as specified on the portal. The employer has to digitally approve the filled form.
- iii. The code number allotment letter and documents uploaded by the Employer are available with field offices on FO interface. The same should be downloaded and scrutinized properly and promptly. If any specific document is found missing or is not readable, the same should be collected by the RO/DO from the establishment through email or otherwise.

- iv. E-office compliance file of the establishment would be created with these documents downloaded from the FO interface which should be put up by the section to the Circle Officer for confirmation of receipt of the basic documents.

FO-interface >>OLRE>>View Documents

The screenshot shows the EPFO portal interface. The header includes the EPFO logo and the text "EMPLOYEES' PROVIDENT FUND ORGANISATION, INDIA" and "MINISTRY OF LABOUR & EMPLOYMENT, GOVERNMENT OF INDIA". The navigation bar has "Home", "OLRE", "Jurisdiction", and "Admin" tabs. A dropdown menu is open under "OLRE", showing options: "NEW COVERAGE", "COVERAGES LIST", "VIEW DOCUMENTS" (highlighted), "DRAFT COVERAGES", "DOWNLOAD FORM 5A", and "DASHBOARD FORM 5A". Below the menu, there is a "What's New" section with updates on Form 5A and online payments.

The following details appear in the view document:

The screenshot shows the "Documents Verification" section of the EPFO portal. It includes filter fields for "Application No.", "Establishment Id", "PAN No.", and "Status". A "GO" button is present. Below, the "Uploaded Documents" section displays a table of documents.

	Application No.	Establishment Code	Establishment Name	PAN	Document Status	Submitted Date	View Documents
1	10000999977	KDMAL2707906000	Tangerine Twist Enterprises	AATFT0458N	PENDING	12-07-2022	
2	10000999918	KDMAL2707866000	NUTRILIFE LIFESCIENCES PRIVATE I	AAICX3737A	PENDING	12-07-2022	
3	10000999819	KDMAL2707789000	NAVINI WELFARE FOUNDATION	AAICX3733E	PENDING	12-07-2022	
4	10000999816	KDMAL2707786000	MASD ADVISORS PRIVATE LIMITED	AAPCM9851R	PENDING	12-07-2022	
5	10000999839	KDMAL2707773000	CREDAIN NETWORKS PRIVATE LIMIT	AAKCC4618D	PENDING	12-07-2022	
6	10000999679	KDMAL2707684000	IDZYNER REALITY PRIVATE LIMITED	AAGCI7602F	PENDING	12-07-2022	
7	10000999793	KDMAL2707707000	SLSF NIDHI LIMITED	ABIC59477K	PENDING	12-07-2022	
8	10000999777	KDMAL2707707000	SLSF NIDHI LIMITED	ABIC59477K	PENDING	12-07-2022	

1.3.3 Notification of Voluntary Coverages U/S 1(4)

- i. All voluntary coverages obtained under section 1(4) should immediately be processed for notification in the Official Gazette as is the requirement under the section concerned.
- ii. Section 1(4) needs satisfaction of CPFC, on an application made or otherwise, that the employer and the majority of employees have consented to make the provisions of Act applicable. Therefore, application of the employer and his consent along with consent of majority of employees should be collected and if contribution of even one month has been paid, the case should be processed for notification. Standard proforma for employees' consent and employer's application-cum-consent may be used by the employers. **(ST 1 & ST 2)**.
- iii. ZO concerned has to get the coverage notified in the official gazette once the same is approved by the CPFC. Therefore, the original documents need not be sent to HO. Only the information as required under Head Office circular number C-I/4(3)2016/AP-OR/1(4)/2709 dated 05.05.2017 **(ST 3)** should be forwarded to Head Office [ACC(HQ)/ACC of Compliance Division] for approval of CPFC by the ZO concerned through e-office. On communication of approval of CPFC, ACC Zone has to make arrangement for notification of such establishments in Official Gazette.

*****CHAPTER END*****

CHAPTER 2 : INQUIRIES U/S 7A, 7B & 7C OF THE ACT

2. Inquiries u/s 7A, 7B & 7C of the Act

2.1 Introduction

The statutory mandate for inquiry under section 7A is two-fold:

1 To decide dispute regarding applicability of the Act

2 To determine the dues payable under the Act/Schemes

2.1.1 When the Employees' Provident Funds and Miscellaneous Provisions Act, 1952 was framed in the year 1952, it did not provide for any forum for determination of dues. Hon'ble Courts had, however, held that the action to recover the amount due under the Act, by way of recovery proceedings, could be taken only after the determination of dues. Hence, section 7A was inserted in the Act, by the Amendment Act 28 of 1963 to remove the above lacuna in the Act, by providing a forum to determine the dues under the Act.

2.1.2 When the Section 7A was inserted, the respective State Governments were empowered to recover dues. To simplify and rationalise the process, Section 7A was amended in the year 1973 empowering the Central Provident Fund Commissioner, Deputy Provident Fund Commissioner, Regional Provident Fund Commissioner to exercise the power under Section 7A. Though there was no specific provision in the Act to decide applicability disputes, in various court judgments it was held that the assessing authority should first decide the dispute of applicability, if such dispute was raised by the employer and then only determine the dues. **[D K Barua vs RPFC 1972 I LLJ 385 (Pat DB); Mahamaya Coconut vs RPFC 1972 II LLN 540 (Ori DB)]**

2.1.3 By the Amendment, Act 33 of 1988, the power to conduct inquiry under Section 7A was extended to Additional Central Provident Fund Commissioners and Assistant Provident Fund Commissioners as well to speed up the assessment of dues and take timely action against defaulters. Provision was made expressly empowering officers exercising the powers under this section to decide the dispute relating to the applicability of the Act to an establishment, when such a dispute arose. The

amendment also provided for appeal against the orders of the adjudicating authority hitherto not available by inserting section 7-I.

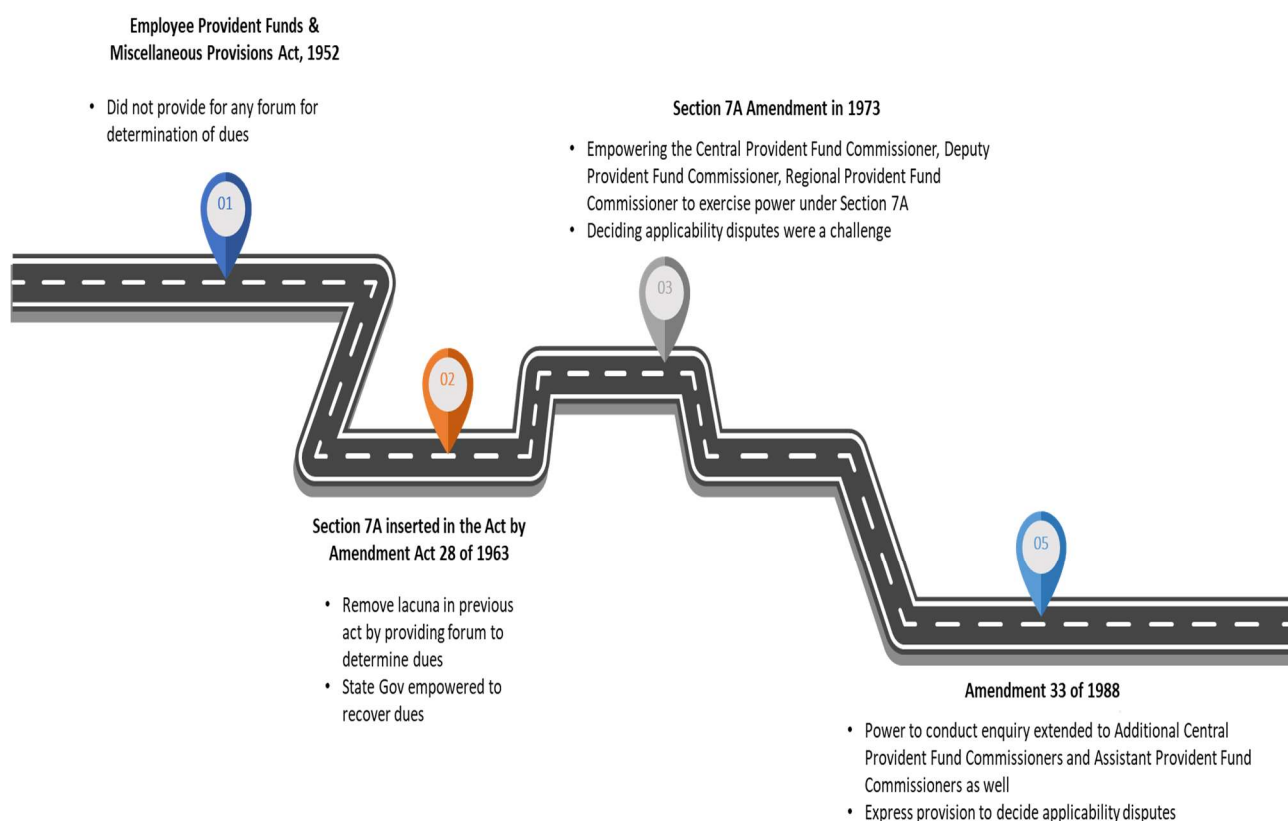


Figure 4 : Developments over the years

2.1.4 Due care should be taken while initiating inquiries so that while rights of the employees under the Act are protected without any compromise, there is no undue hardship to the employer in the process as well. The authority clothed in the trappings of a Court under the Code of Civil procedure, is required to act judiciously, fairly, transparently, and equitably following the principles of natural justice. Hence, such inquiries are required to be initiated after establishing a prima-facie case of default / applicability dispute.

2.1.5 The idea is to secure compliance first by handholding, persuasion & nudging before resorting to initiation of inquiry. However, though the attitudinal change of keeping the idea of Ease of Doing Business in view is expected, the idea of '**compliance with no compromise**' should never be lost sight of.

2.2 Officers and their Powers

- 2.2.1 Section 7A (1) authorizes the Central Provident Fund Commissioner, Additional Central Provident Fund Commissioners, Deputy Provident Fund Commissioners, Regional Provident Fund Commissioners or Assistant Provident Fund Commissioners to decide disputes regarding applicability of the Act to an establishment and/ or to determine amount due from any employer under the provisions of the Act/Schemes by order. For the aforesaid purposes, such inquiry as deemed necessary may be conducted by the Commissioner deciding the applicability-dispute/determining amount due.
- 2.2.2 Section 7A (3) provides that no such order shall be made unless the employer concerned is given reasonable opportunity of representing his case. Providing reasonable opportunity before passing an order is a requirement of the principle of natural justice. The two core concepts of the principle of natural justice are; *audi alteram partem* (hear the other side or no one should be condemned unheard) and *nemo judex in causa sua* (no one should be a judge in his own case).
- 2.2.3 It is therefore essential legal requirement that reasonable opportunities of hearing be provided to the employer and the Central Board is represented by someone other than the officer conducting the inquiry.
- 2.2.4 Section 7A (2) vests the officers conducting inquiry under section 7A (1) with the same powers as are vested in a court under the Code of Civil Procedure, 1908 for trying a suit in respect of the following matters, namely:
- i. Enforcing the attendance of any person or examining him/her on oath
 - ii. Requiring the discovery and production of documents
 - iii. Receiving evidence on affidavit
 - iv. Issuing commissions for the examination of witnesses
- 2.2.5 Relevant sections dealing with the aforementioned subjects in the Code of Civil Procedure, 1908 are Sections 27 to 32 under the heading 'Summons and Discovery':

Section 27**Summons to Defendants**

Where a suit has been duly instituted, a summon may be issued to the defendant to appear and answer the claim and may be served in manner prescribed [on such day not beyond thirty days from date of the institution of the suit.]

Section 28**Service of summons where defendant resides in another State**

Where a suit has been duly instituted, a summon may be issued to the defendant to appear and answer the claim and may be served in manner prescribed [on such day not beyond thirty days from date of the institution of the suit.]

1. A summon may be sent for service in another State to such Court and in such manner as may be prescribed by rules in force in that State.
2. The Court to which such summons is sent shall, upon receipt thereof, proceed as if it had been issued by such Court and shall then return the summons to the Court of issue together with the record (if any) of its proceedings with regard thereto.
3. Where the language of the summons sent for service in another State is different from the language of the record referred to in sub-section (2), a translation of the record,
 - a. in Hindi, where the language of the Court issuing the summons is Hindi, or
 - b. in Hindi or English where the language of such record is other than Hindi or English, shall also be sent together with the record sent under that sub-section.]

Section 29**Service of foreign summons**

Summons and other processes issued by-

- a. any Civil or Revenue Court established in any part of India to which the provisions of this Code do not extend,
- b. any Civil or Revenue Court established or continued by the authority of the Central Government outside India, or
- c. any other Civil or Revenue Court outside India to which the Central Government has, by notification in the Official Gazette, declared the provisions of this section to apply, may be sent to the Courts in the territories to which this Code extends, and served as if they were summonses issued by such Courts.]

Section 30**Service of summons where defendant resides in another State**

Subject to such conditions and limitations as may be prescribed, the Court may, at any time, either of its own motion or on the application of any party-

- a. make such orders as may be necessary or reasonable in all matters relating to the delivery and answering of interrogatories, the admission of documents and facts, and the discovery, inspection, production, impounding and return of documents or other material objects producible as evidence;
- b. issue summonses to persons whose attendance is required either to give evidence or to produce documents or such other objects as aforesaid;
- c. order any fact to be proved by affidavit.

Section 31**Summons to witness**

The provisions in sections 27, 28 and 29 shall apply to summonses to give evidence or to produce documents or other material objects.

Section 32**Penalty for Default**

The Court may compel the attendance of any person to whom a summon has been issued under section 30 and for that purpose may-

- a. issue a warrant for his arrest;
- b. attach and sell his property;
- c. impose a fine upon him [not exceeding five thousand rupees];
- d. order him/her to furnish security for his appearance and in default commit him to the civil prison.

- 2.2.6 At times, situations may be encountered during the proceedings where employer may refuse to cooperate ostensibly to prolong/delay the proceedings for various reasons and on the other hand, sufficient documents may not be on record to pass an ex parte order. In such situations, it is under section 30 of the Code of Civil Procedure, 1908 that show cause notices are issued during the proceedings against the recalcitrant employers who refuse or neglect to produce the required documents or part with any other information sought. Sample notice to the employer under section 30 of the CPC is at **ST 5**.
- 2.2.7 At times witnesses are also to be called for taking their statements during the inquiry. Sample of summons to witness is at **ST 6**.
- 2.2.8 Section 32 of the CPC prescribes the means through which attendance of a person to whom summons has been issued is compelled. The provisions are self-explanatory, yet instances have been noticed in which the officers conducting inquiries u/s 7A have issued orders to attach/freeze bank accounts of the establishments/personal accounts of the employers for alleged non-appearance in such inquiries. Such practices have attracted a lot of adverse observations from Constitutional Courts and other quarters; hence, must not be resorted to.
- 2.2.9 In so far as the power to impose fines for non-appearance, by invocation of section 32 CPC is concerned, it may be noted that the power of a Civil Court, and consequently an officer exercising jurisdiction under section 7A, in imposing a pecuniary fine for wilful absence of a party summoned, is restricted to the amount of Rupees Five Thousand only by virtue of section 32 of the CPC.
- 2.2.10 The power to attach and sell property for non-appearance is also subject to limitation prescribed in rule 10 of Order XVI of the CPC which circumscribes the power so available to the limit of fine imposable under rule 12. Alternatively stated, when the power to attach and sell property of the employer is sought to be exercised for non-appearance, the value of property so attached has to be within the quantum of fine that could be levied under the relevant provision.

Note: *It has been observed, in a number of cases, that the officers issue attachment orders without specifying any amount to the extent of which the attachment is intended to be made. It is important to note that the power to make attachments of unlimited value or to freeze operation of bank accounts is not relatable to any provision of the Act or Code of Civil Procedure. Such actions are evidently illegal and amount to blatant misuse of authority besides causing unwarranted harassment to the employers concerned.*

2.2.11 In case the person to whom summons is issued for production of document or discovery of any document and he commits default in attendance, the 7A authority is empowered to issue warrant of arrest under section 32 of the Code of Civil Procedure, 1908. [**Devi Ahilya Bai Ghate Ucha Shiksha Samiti and another vs State of MP and ors-2007(1) LLJ 78- MP High Court-Gwalior Bench**]. Sample of warrant of arrest issued under section 32 of the CPC is at **ST 7**.

2.2.12 However, the 7A authority cannot direct detention of a person in civil prison in case he fails to produce the records which he has been summoned to produce. The power under Order XVI Rule 18 of the Code of Civil Procedure, 1908 can be exercised by the court only for the purpose of ensuring the appearance of the person and not when he fails to produce any document or record which he has been summoned to produce. Clause (d) of Section 32 of the Civil Procedure Code is the only provision providing for detention of a person in civil prison and it states that the Court may compel the attendance of any person to whom summons have been issued under Section 30 and for that purpose may order him to furnish security for his appearance and in default commit him to civil prison. The expression "for that purpose" clearly indicates that the detention of a person in civil prison can be ordered by the Court only for the purpose of compelling his attendance. There is nothing in Section 32 of the Civil Procedure Code to indicate that the Court can detain a person to civil prison if he does not produce any record or documents which he has been summoned to produce. Similarly a reading of Rule 18 of Order XVI of the Civil Procedure Code shows that where any person arrested under a warrant is brought before the Court in custody and cannot, owing to the absence of parties or any of them, give the evidence or produce the document which he has been summoned to give or produce, the Court may require him to give reasonable bail or other security for his appearance at such time and place as it thinks fit, and, on such bail or security being given, may release him, and, in default of his giving such bail or security, may order him to detain in civil prison. Thus, the power under Order XVI, Rule 18 of the

Civil Procedure Code can be exercised by the Court only for the purpose of ensuring the appearance of the person and not when he fails to produce any document or record which has been summoned to produce. **[Vinod Tiwari vs Employees Provident Fund Organisation and anr- 2006(3) LLJ 308 (MP H.C. -Gwalior bench)]**

- 2.2.13 Section 7A (2) further clarifies that any such inquiry [under section 7A (1)] shall be deemed to be a judicial proceeding within the meaning of sections 193 and 228 and for the purpose of section 196 of the Indian Penal Code.

INDIAN PENAL CODE, 1860

Section 193 - Punishment for false evidence

Whoever intentionally gives false evidence in any stage of a judicial proceeding, or fabricates false evidence for the purpose of being used in any stage of a judicial proceeding, shall be punished with imprisonment of either description for a term which may extend to seven years, and shall also be liable to fine, and whoever intentionally gives or fabricates false evidence in any other case, shall be punished with imprisonment of either description for a term which may extend to three years, and shall also be liable to fine.

Explanation 1- A trial before a Court-martial; is a judicial proceeding.

Explanation 2- An investigation directed by law preliminary to a proceeding before a Court of Justice, is a stage of a judicial proceeding, though that investigation may not take place before a Court of Justice.

Illustration

A, in an enquiry before a Magistrate for the purpose of ascertaining whether Z ought to be committed for trial, makes on oath a statement which he knows to be false. As this enquiry is a state of a judicial proceeding, A has given false evidence.

Explanation 3- An investigation directed by a Court of Justice according to law and conducted under the authority of a Court of Justice, is a state of a judicial proceeding, though that investigation may not take place before a Court of Justice.

Illustration

A, in any enquiry before an officer deputed by a Court of Justice to ascertain on the spot the boundaries of land, makes on oath a statement which he knows to be false. As this enquiry is a stage of a judicial proceeding. A has given false evidence.

Section 196 - Using evidence known to be false

Whoever corruptly uses or attempts to use as true or genuine evidence any evidence which he knows to be false or fabricated, shall be punished in the same manner as if he gave or fabricated false evidence.

Section 228 - Intentional insult or interruption to public servant sitting in judicial proceeding

Whoever intentionally offers any insult, or causes any interruption to any public servant, while such public servant is sitting in any stage of a judicial proceeding, shall be punished with simple imprisonment for a term which may extend to six months, or with fine which may extend to one thousand rupees, or with both.

2.3 Procedure of Initiation and Conduct of Inquiry

2.3.1 Initiation

- i. The Enforcement Officer shall submit the inspection report to the e-Office login of the Circle Officer concerned in a diarized manner who shall immediately mark the same to the SS / DA concerned of the Circle for processing the same. DA concerned to whom the file is allotted/his link in turn shall process the inspection report within three **(03) working days** of receipt in his login in the e-Office compliance file of the establishment and put up the same to the SS/SSSA in-charge of the section. The SS/SSSA in-charge of the section shall in turn process the file and put it up to the Circle Officer within **two (2) working days**.
- ii. The process flow of the said inspection report together with the observations and recommendations in accordance with law/extant HO instructions shall be in the following manner-

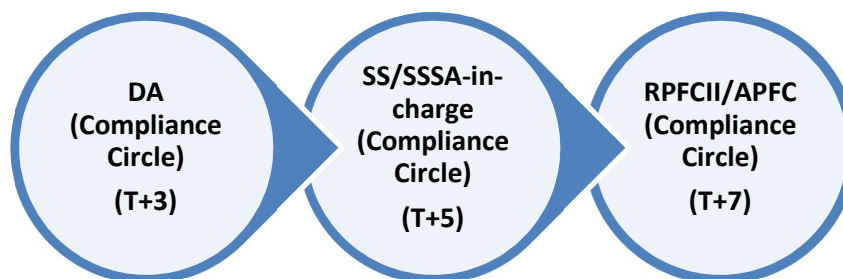


Figure 5 : Process Flow of Inspection Report

- iii. The Circle Officer shall examine the investigation report submitted by the EO and decide the course of action within further two (2) working days; including whether any case is made out for initiation of action under section 7A/7C. However, when an inquiry needs to be initiated on urgent

basis based on some credible information other than the inspection report, approval of the officer-in-charge (RO) for initiation of such inquiry shall be taken in the e-office compliance file of the establishment.

- iv. If, on the basis of the investigation report of the EO, or otherwise as mentioned at (iii) above, a prima facie case is established and it is decided that there is a fit case for initiation of inquiry under section 7A/7C of the Act, the Section Supervisor of the Compliance Circle (or SSSA / SSA in charge of the section) shall register the case on the Compliance e-Proceedings portal within two (02) working days of the aforesaid approval after duly entering the employee strength of the establishment bearing in mind the following scenarios.

S.No.	Nature of dispute	Employee strength to include
1.	Applicability dispute u/s 7A	Employee strength on the date of applicability proposed by the EO
2.	Determination of Dues u/s 7A (7B/7C)	No. of contributory UANs* in the last filed ECR + eligible employees as reported by the EO
3.	Levy of Damages u/s 14B	No. of contributory UANs in the last wage month of the period of default

*In case, an establishment files multiple ECRs for a wage month, the sum of all contributory UANs of all such ECRs. If the establishment has not filed any ECR, the jurisdiction shall be decided on the basis of the declaration of number of employees at the time of registration or as reported by the EO (whichever is higher).

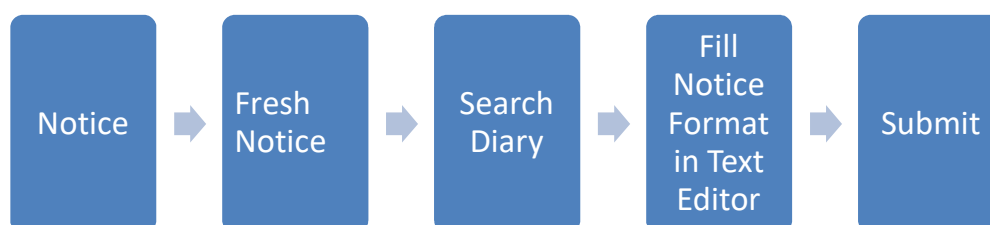
**Proceeding u/p 26B of the Scheme and u/p 8 (EPS) shall be done by RPFC-I/RPFC-II

- v. Complete investigation report should be available on record before initiation of inquiry is recommended. In cases where the complete report is not received, the officer directing initiation of inquiry shall record reasons in writing for initiating the said inquiry.

- vi. Diary number generated on the e-proceedings portal get reflected in the admin role of the OIC. He/she will allot the inquiries on daily basis in randomised manner as discussed below.
- vii. Profiles of all officers, APFC and above, shall be created on e-Proceedings portal by the OIC through the admin role. Inquiries shall be allotted to all officers, APFC and above (except those barred from holding sensitive charge) posted in the RO (including DO) strictly on random basis keeping in view the administrative arrangements as indicated in para 2.5.1 below.
- viii. OIC will reassign the cases in contingencies such as:
 - a. Transfer/resignation/death etc. of the Officer conducting the proceeding.
 - b. Officer conducting proceeding and/or acting as Departmental Representative has been identified by the Head Office not eligible for sensitive posting during the currency of the proceeding.
 - c. Officer (either after promotion or otherwise) to whom the system has randomly allocated the case has either conducted inspection forming basis of the proceeding or acted as Departmental Representative earlier in the same case.
 - d. In case, any exception is required the same may be sought by the OIC from the ACC of the Zone.
- ix. Profiles of officers who are transferred in and out of the Region should be updated timely.
- x. After the inquiry is assigned to an officer, the Compliance Circle (SS/SSSA-in-charge shall be responsible) shall create a separate e-office Proceedings file for the inquiry within next two (02) working days of its allocation and forward the same through the Circle Officer (RPFC-II/APFC) to the officer to whom the inquiry is assigned.
- xi. The separate e-office proceedings file shall essentially contain the following:
 - a. Diary number generated on the e-Proceedings portal for the inquiry.
 - b. Draft summons. Indicative structure of summons under section 7A is at **ST 4**.
 - c. Investigation report of the EO and/or documents being the basis of initiation of inquiry.

2.3.2 Issue of Summons

- i. The summons/notice is a necessary and an essential condition for the initiation of a proceeding. It will be the duty of the officer conducting the proceeding that summons/notice are prepared and issued in a proper and timely manner.
- ii. On receipt of the separate e-office proceedings file created for the inquiry, the officer to whom the inquiry is assigned shall check admissibility of the case and after satisfying on the same shall approve the summons for issuance. For the purpose of generating e-notices u/s 7A following portal route may be used.



- iii. The officer conducting the inquiry will examine that:
 - a. The scope, period and system generated diary number of inquiry is clearly spelt out in the said summons/notice
 - b. Virtual mode of hearing specifying the date and time and meeting link for video conferencing to employers and others to join the hearing at scheduled time is mentioned in the summons/notice clearly
 - c. URL of Compliance e-Proceedings Portal is also mentioned to enable employers to know case status including next date of hearing & daily orders—
<http://eproceedings.epfindia.gov.in/epfo/public/caseenowisearch.php>
 - d. Investigation Report is essentially uploaded on the e-Proceedings portal, except where it does not form the basis of initiation of the proceeding. In other cases, documents forming basis for initiation of proceedings shall be uploaded on the e-Proceedings portal.
- iv. Summons/notice of the inquiry along with the report/documents relied upon as uploaded on the portal above, shall be served to the parties in electronic and physical mode on the registered email

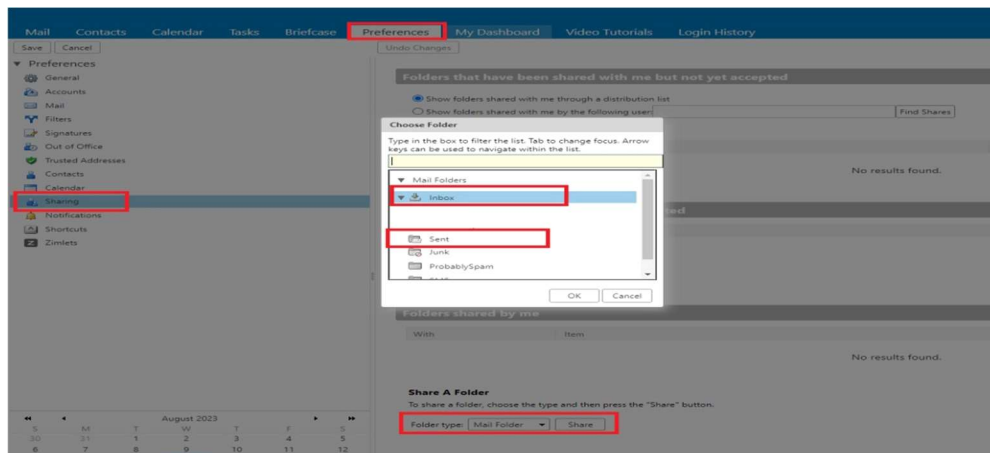
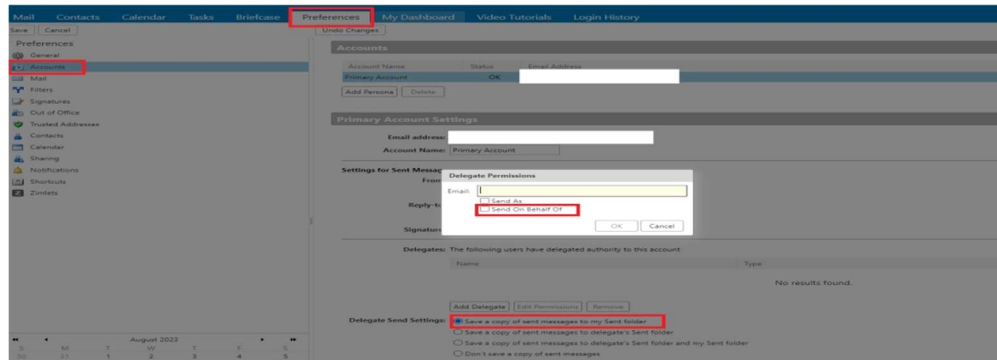
and postal address(es) registered on the establishment profile and the ones provided by the employees / complainant(s), if any. Notices when served in physical mode shall be sent through Speed Post with acknowledgement due. Wherever the summons / notice could not be served through the modes mentioned above, such notices should be served in accordance with the provisions of the Code of Civil Procedure, 1908; contained in Order V, Rule 9-30 under the First Schedule.

- v. The summons / notice must be duly stamp marked with the diary number generated on the e-Proceedings portal besides bearing the sign and seal of the officer conducting the proceeding.
- vi. The case diary id number shall be quoted in all communications- Notice of hearings, daily order sheets, final orders, orders, and notices in execution process.

2.3.3 Conduct of Inquiry

- i. Inquiries are to be conducted invariably on Compliance e-Proceedings portal in virtual mode.
- ii. The officer conducting the inquiry shall conduct the same from the desktop in his office chamber. EO (Departmental Representative) shall attend hearings through desktop available in the office.
- iii. SS/SSSA of the Compliance Circle being custodian of the file and records as well as in the role of filer in the Compliance e-Proceedings portal shall join the virtual hearing through link from desktop in section/office for carrying out following roles:
 - a. To scan and upload physical documents delivered by any party
 - b. To upload final order on the portal after signature of the adjudicating authority
 - c. To update the status in each case on portal and follow calendar
 - d. To issue notice of hearings, order to parties and other communication through email
- iv. Each officer conducting inquiry shall have a dedicated official email id (@epfindia.gov.in) for communication with employers and other parties.

- v. The officer conducting proceedings may add the Dealing Assistant as delegate of the dedicated email ID using the **PREFERENCES >> ACCOUNTS >> ADD DELEGATES** and share the **Inbox** and **Sent** Mail folders using the **PREFERENCES >> SHARING >> SHARE A FOLDER** (Inbox/Sent) functionality for smooth handling of the communication and without further sharing the password of the email. It shall be the responsibility of the officer to remove delegate-access to the dedicated email-id in timely manner on transfer / posting of Dealing Assistant.



- vi. Till the time user id or login on Unified Portal is integrated with compliance e-Proceedings portal, e-notice intimating the date, time and mode of hearing is to be served to the employer through the dedicated official email-id of the officer conducting the proceedings to the email ids of the parties involved. The officer concerned shall ensure service of e-Notice containing details of virtual hearing specific to the said proceeding.
- vii. Dealing Assistant concerned (or his/her link official) of the Compliance Circle shall host the virtual court hearing at the scheduled time and ensure that all parties are allowed into the court meeting with their audio and video functions active.

- viii. All proceedings shall be recorded in the utility selected for virtual hearing and shall be retained till the upload of the daily order sheet of the next date of hearing. If no party raises objection to any part of the daily order sheet uploaded on the previous date of hearing, the recording shall not be retained further.
- ix. The proceedings are to be drawn on the spot by the officer conducting the proceeding in the presence of the participating parties on the e-Proceedings portal directly using the screen share mode of the video conferencing utility which should be submitted immediately for the reference and use of the parties. Oral submissions made, including admission of liability by employer or consent of complainant to the assessment of dues and arguments put forth by the parties during the virtual court hearings should be recorded in daily order sheet.
- x. The daily order sheet so submitted may be downloaded by the parties for appending signature – digitally / physically – and emailing the same to the officer concerned within 24 hours. In case no reply is received, the daily order shall be deemed to have been accepted.
- xi. If the employer needs to file documents / papers / statement in support of his/her case, the same shall be allowed to be filed by the employer from her/his registered email-id to the dedicated email-id of the officer conducting the proceeding. The documents should be in pdf format, properly indexed, and bear the digital / physical signature of the employer as mentioned in the Form 5A of the establishment. These should be provided to other parties to the case.
- xii. If any employer or any other party to the dispute insists on filing submission / documents in hard copy through post or by delivery, the same may be allowed provided the same is submitted in digitally signed PDF format as well and properly indexed.
- xiii. As the next date and time of hearing shall be mentioned invariably in the daily order sheet itself, no separate adjournment notice is to be issued to the establishment / parties. Adjournments should not be allowed as a matter of routine and no adjournment should be allowed for more than 7 days in usual course.

- xiv. On conclusion of hearings, the following timeline should be observed for pronouncement of final order and follow up action:

S.No.	Issue	Timeline	Responsibility
1.	Pronouncement and Signing of Final Order	Within 15 working days from the conclusion of hearing (T th day)	Officer conducting of the proceeding
2.	Upload of Signed Final Order on Portal	T th day	SS & Dealing Assistant concerned of the Compliance Circle
3.	Dispatch of signed Final Order to Parties physically	T+1(Working Days)	SS & Dealing Assistant concerned of the Compliance Circle

- xv. Though the SS/Dealing Assistant of the Compliance Circle shall be uploading the final order, the ultimate responsibility of ensuring the same within the timeline above shall be of the officer conducting the proceeding.
- xvi. It should be ensured that the month wise details of dues are mentioned in the orders made under section 7A / 7B / 7C, so that difficulty in levying damages in lump sum assessment cases could be avoided. However, in case, it is not feasible to record dues on month-to-month basis, the reason thereof must be recorded in detail by the Officer conducting the proceeding in the final order.

2.4 Dos & Don'ts of Inquiries

- i. Inquiries under section 7A should only be initiated for the purposes provided in the statute i.e., for deciding disputes of applicability of the Act to the establishment or for determining dues payable under the provisions of the Act/Schemes. Grounds such as non-submission of returns, non-production of records, non-cooperation during inspection etc. are beyond the sweep of section 7A and should be dealt with through other mechanisms such as prosecution.
- ii. Inquiries under section 7A should only be initiated where there are sufficient and tenable reasons for doing so i.e., there is existence of *prima facie* case. The Officer initiating the

inquiry should record reasons in writing in the file of existence of a *prima facie* case based on evidence of default/evasion available on record or existence of an applicability dispute before initiating process under section 7A. Any inquiry or legal proceeding initiated without a prima facie case is of the nature of fishing and roving inquiry and the same is impermissible in law

- iii. A complaint is merely a source of information; at best, a lead. It does not constitute *prima facie* evidence. Any actionable complaint needs to be verified by the Enforcement Officer first and only on substantiation of the same on the basis of evidence collected, any inquiry under section 7A should be initiated. Initiating inquiries on the basis of complaints alone must be avoided as it is legally untenable.
- iv. Proximate nexus with the evidence and period of default available on record should be recorded in the file by the officer initiating the inquiry. Initiation of inquiries for prolonged periods such as more than 5 years should be avoided unless sufficient documents to do the assessment are available on record.
- v. Scope and period of the inquiry should be decided beforehand and once finalized should be adhered to steadfastly. For any new period or issue, a separate notice must be issued. The records summoned from the employer should have reasonable linkage with the subject and period of determination. Summoning unrelated records for prolonged period amounts to conducting a fishing and roving inquiry which is not permissible in law.
- vi. Reason for initiation of inquiry must be recorded in writing in the Compliance file concerned and a copy of the documents relied upon and forming the basis of initiation of the inquiry must be supplied to the parties concerned along with the 7A summons.
- vii. The summons/notice initiating inquiry shall be assigned a computer- generated diary number from Compliance e-Proceedings portal invariably.

2.5 Jurisdiction of Officers (Administrative Directions)

- 2.5.1 Allocation of inquiries/proceedings to the officers is to be done randomly through e-Proceedings portal keeping in view the member-strength reckoned with reference to the subscriber-strength for the month immediately preceding the commencement of default (i.e., the latest information available on record)

Sl. No	Membership in the Establishments	DO where APFC is in-charge	RO / DO where RPFC-II is in-charge	In RO where RPFC-I is in-charge, and no RC-II is posted	In RO where RPFC-I is in-charge and where RPFC-II is/are also posted
(1)	(2)	(3)	(4)	(5)	(6)
1.	Establishments with contributory UANs up to 250	APFC	APFC / (RPFC II of the DO concerned)	APFC	APFC
2.	Establishments with contributory UANs from 251 to 1000	RPFC-I / RPFC-II, as the case may be, in accordance with Cols. (4), (5) & (6)	RPFC-II/ Officer In-Charge	RPFC-I/ Officer In-Charge	RPFC-II
3.	Establishments with contributory UANs from 1001 onwards		RPFC-II/ Officer In-Charge in case of RO; RPFC-I of RO in case of DO		RPFC-I/ Officer In-Charge

NB: In case an establishment files multiple ECRs for a wage-month, the sum of all contributory UANs is to be reckoned.

- 2.5.2 Once an inquiry is initiated u/s 7A/7B/7C on the prescribed criteria by jurisdictional officer, any fluctuation in the subscriber strength of the establishment in any wage month during the period of default for which inquiry is initiated shall not result in transfer of the case from officer of one level to another. Should a circumstance arise that the guidelines above are difficult to implement due to shortage of officers, the RPFC-in charge of the RO shall forward a self-contained proposal with

due justification to the ACC (Zone) for consideration. The ACC (Zone) shall be competent to decide on such proposals for deviation and decision of the ACC (Zone) on such proposal shall be conveyed within 3 days of its receipt, under intimation to the Head Office.

2.6 Ex-parte Order

- 2.6.1 Sub-sections 3A & 4 of section 7A deal with ex-parte orders i.e., orders passed in the absence of the employer/employee/any other party. Where the employer, employee or any other person required to attend the inquiry fails to attend the inquiry without assigning any valid reason or fails to produce any document or to file any report or return when called upon to do so, the officer conducting the inquiry may decide the applicability dispute or determine the amount due on the basis of evidence adduced during the inquiry and documents available on record.
- 2.6.2 Confirmation of due service of notice/summons to the employer or any other person required to attend the inquiry or to produce any document or to file any report or return should be ensured before invoking the provision of section 7A(3A). In many cases it has been observed that the employer/complainant has not been aware of the proceeding being conducted. Most of the ex-parte orders are challenged on this very ground alone.
- 2.6.3 Even in such cases where ex-parte orders are issued, the officer conducting the inquiry must pass a reasoned, fair, and just order. Many a times it is observed that proceedings are conducted in undue haste without providing reasonable opportunity to the employer/parties to contest the matter and/or arbitrary orders are passed leading to undue litigation and remanding back of cases/quashing of orders by higher judicial fora.
- 2.6.4 It should also be kept in mind that power under section 7A(3A) to proceed with evidence and material available on record should be exercised only when powers under section 7A (2) have been exercised beforehand. The casefile must show that all possible efforts have been made to afford proper and sufficient opportunity to defend the matter by the employer and/or other parties involved.
- 2.6.5 However, where an order u/s 7A (1) has been passed against an employer ex- parte, he may within three (3) months of communication of such order apply for setting it aside. If s/he satisfies the

officer that the show cause notice was not duly served or that he was prevented by any sufficient cause from appearing when the inquiry was held, the officer shall by an order set aside his earlier order and shall hear the matter *de-novo*.

- 2.6.6 No order shall, however, be set aside merely on the ground that there has been an irregularity in the service of the show cause notice if the officer is satisfied that employer did have the notice of the date of hearing and had sufficient time to appear before the officer.
- 2.6.7 Further, if any appeal has been preferred under the Act against the ex-parte order and the same has been disposed of, otherwise than on the ground of withdrawal of the same by the appellant, no application shall lie under section 7A (4) for setting aside the ex-parte order.
- 2.6.8 Moreover, no order for setting aside shall be made on an application made under section 7A (4) unless notice of it has been served on the opposite party.

2.7 Review u/s 7B

- 2.7.1 In case of review applications filed against orders passed under section 7A (1), the powers under section 7B to review the orders shall be exercised by an officer only after obtaining the views of the officer next above in hierarchy. APFC of RO/DO shall obtain view of RPFC II (Compliance) of the RO/ RPFC I or Officer-in-Charge of the Regional Office (if RPFC II is not there in hierarchy). RPFC II of RO will likewise obtain the view of RPFC I of RO or Zonal ACC (in case the RO is headed by RPFC II or in case of ROs headed by RPFC I, no RPFC I is posted/available). RPFC I of RO shall obtain the view of Zonal ACC.
- 2.7.2 The scope of review is extremely limited.
- 2.7.3 Section 7B is a replica of Order XLVII Rule 1 of the Code of Civil Procedure, 1908 and reads as under:

7B. Review of orders passed under section 7A.—(1) Any person aggrieved by an order made under sub-section (1) of section 7A, but from which no appeal has been preferred under this Act, and who, from the discovery of new and important matter or evidence which, after the exercise of due diligence was not within his knowledge or could not be produced by him at the time when the order was made,

or on account of some mistake or error apparent on the face of the record or for any other sufficient reason, desires to obtain a review of such order may apply for a review of that order to the officer who passed the order:

Provided that such officer may also on his own motion review his order if he is satisfied that it is necessary so to do on any such ground.

(2) Every application for review under sub-section (1) shall be filed in such form and manner and within such time as may be specified in the Scheme.

(3) Where it appears to the officer receiving an application for review that there is no sufficient ground for a review, he shall reject the application.

(4) Where the officer is of opinion that the application for review should be granted, he shall grant the same: Provided that,—

(a) no such application shall be granted without previous notice to all the parties before him to enable them to appear and be heard in support of the order in respect of which a review is applied for, and

(b) no such application shall be granted on the ground of discovery of new matter or evidence which the applicant alleges was not within his knowledge or could not be produced by him when the order was made, without proof of such allegation.

1. (5) No appeal shall lie against the order of the officer rejecting an application for review, but an appeal under this Act shall lie against an order passed under review as if the order passed under review were the original order passed by him under section 7A.

2.7.4 Hon'ble Calcutta High Court on a reading and comprehension of Supreme Court judgements on the issue of review has enumerated the principles that emerge therefrom:

- a. The power of review is a limited power and would be governed by the principles of section 151 read with Order XLVII Rule 1 of the Code of Civil Procedure.
- b. Firstly, a court can review its own judgement when there is a discovery of new and important matter or evidence that was in spite of exercise of due diligence not within the knowledge or could not be produced due to cogent reasons by the party seeking the review. Secondly, the Court may review its order or judgement on account of some mistake or error apparent on the face of the record. Thirdly, a residuary clause in Rule 1 of Order XLVII provides for a review 'for

any other sufficient reason'. It is to be noted that the Apex Court on several occasions has held that the third condition 'for any other sufficient reason' has to be read within the four corners of the first two conditions.

- c. An error which is not self-evident and has to be detected by a process of reasoning is not an error apparent on the face of the record.
- d. A review petition has a limited purpose and cannot be allowed to be "an appeal in disguise." There is a sharp distinction between an erroneous decision that can be only appealed against and an error apparent on the face of the record that is subject to review.

[The State of West Bengal vs Confederation of State Government Employees, 2019 (3) WBLR (Cal) 39]

2.7.5 It could, therefore, be seen that unless the employer comes up with irrefutable evidence about discovery of new facts or evidence which was not within his knowledge even after due diligence, the decision to re- open the issue should not be taken. The burden of proof is on the employer to bring sufficient proof, which despite his best efforts he could not produce at the time of inquiry or before the order was passed. In other words, a mere submission by the employer that he was not aware of the facts at the time of inquiry, or some vague submission that the material evidence or records was not available at the time of inquiry, would not be enough.

2.7.6 Further, under section 7B, an application can be entertained only if the same is filed in form-9 within 45 days of passing of the order under section 7A. With a view to curb the indiscriminate use of section 7B, the following procedure should be followed in all cases.

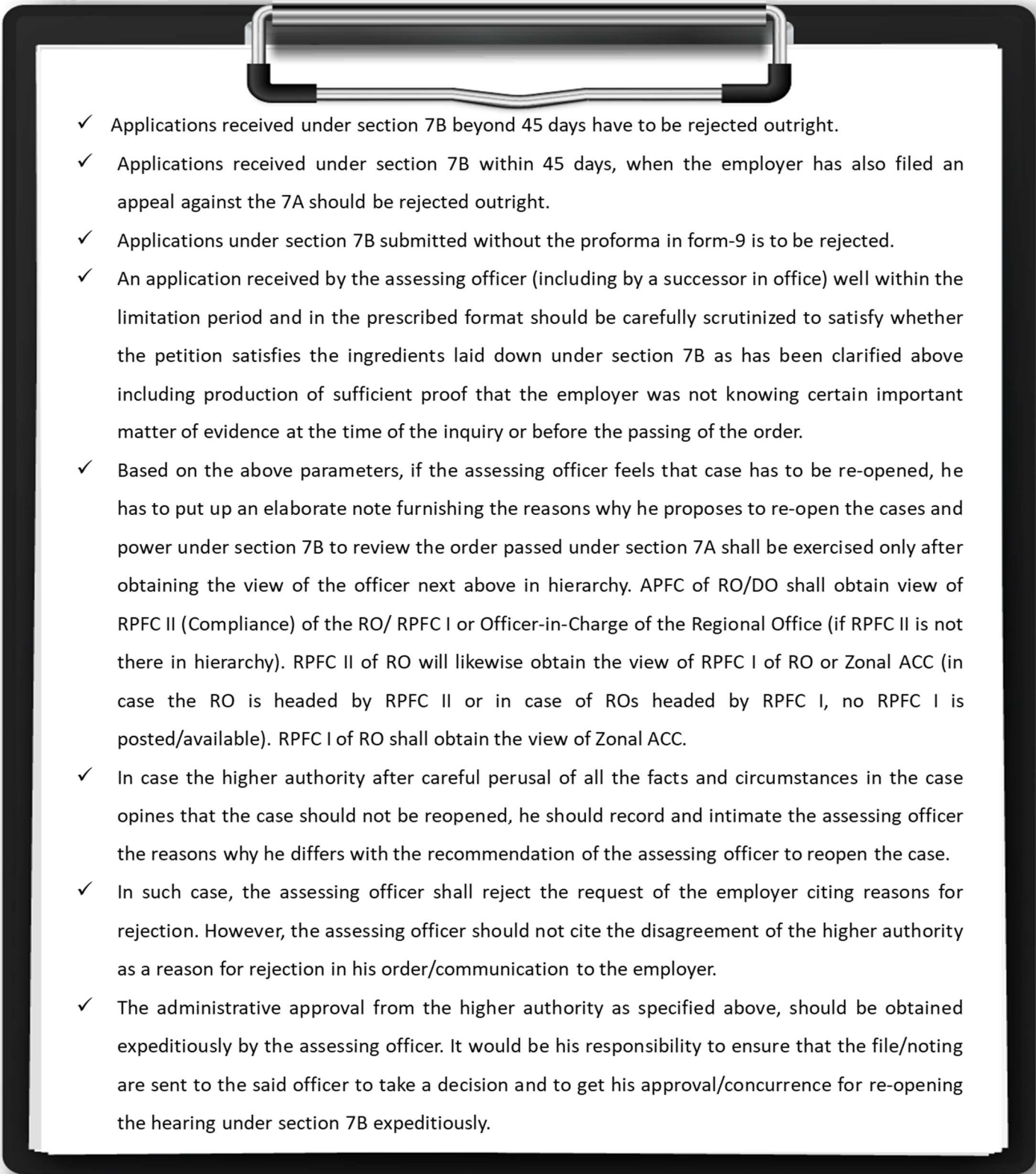
- 
- ✓ Applications received under section 7B beyond 45 days have to be rejected outright.
 - ✓ Applications received under section 7B within 45 days, when the employer has also filed an appeal against the 7A should be rejected outright.
 - ✓ Applications under section 7B submitted without the proforma in form-9 is to be rejected.
 - ✓ An application received by the assessing officer (including by a successor in office) well within the limitation period and in the prescribed format should be carefully scrutinized to satisfy whether the petition satisfies the ingredients laid down under section 7B as has been clarified above including production of sufficient proof that the employer was not knowing certain important matter of evidence at the time of the inquiry or before the passing of the order.
 - ✓ Based on the above parameters, if the assessing officer feels that case has to be re-opened, he has to put up an elaborate note furnishing the reasons why he proposes to re-open the cases and power under section 7B to review the order passed under section 7A shall be exercised only after obtaining the view of the officer next above in hierarchy. APFC of RO/DO shall obtain view of RPFC II (Compliance) of the RO/ RPFC I or Officer-in-Charge of the Regional Office (if RPFC II is not there in hierarchy). RPFC II of RO will likewise obtain the view of RPFC I of RO or Zonal ACC (in case the RO is headed by RPFC II or in case of ROs headed by RPFC I, no RPFC I is posted/available). RPFC I of RO shall obtain the view of Zonal ACC.
 - ✓ In case the higher authority after careful perusal of all the facts and circumstances in the case opines that the case should not be reopened, he should record and intimate the assessing officer the reasons why he differs with the recommendation of the assessing officer to reopen the case.
 - ✓ In such case, the assessing officer shall reject the request of the employer citing reasons for rejection. However, the assessing officer should not cite the disagreement of the higher authority as a reason for rejection in his order/communication to the employer.
 - ✓ The administrative approval from the higher authority as specified above, should be obtained expeditiously by the assessing officer. It would be his responsibility to ensure that the file/noting are sent to the said officer to take a decision and to get his approval/concurrence for re-opening the hearing under section 7B expeditiously.

Figure 6 : Processing of applications under section 7B

- 2.7.7 On the other hand, if the higher authority at the time of administrative scrutiny of the 7A order finds grounds for action under section 7B, he shall cause *suo moto* order for review under section 7B.

2.8 Determination of Escaped Amount u/s 7C

- 2.8.1 Section 7C deals with determination of escaped amount. Section 7C inquiry can only be done within a period of five (5) years from the date of communication of the order passed under 7A/7B.
- 2.8.2 Where the officer has reason to believe that due to omission or failure on the part of employer to make any document or report available or to disclose, fully and truly, all material facts necessary for determining the correct amount due from the employer, any amount so due from the employer for any period has escaped his notice OR has, in consequence of information in his possession, reason to believe that any amount to be determined under section 7A or section 7B has escaped from determination for any period notwithstanding that there has been no omission or failure on the part of the employer, he may re-open the case and pass appropriate orders re-determining the amount due from the employer in accordance with the provisions of the Act.
- 2.8.3 No such order under section 7C re-determining the amount due from the employer shall, however, be passed unless the employer is given reasonable opportunity of representing his case.
- 2.8.4 HO directions are that without prejudice to the powers available to the officer who has passed the order under section 7A/7B, the officer at higher level who conducts supervisory test-check of the order may, if he/she so thinks, direct the officer concerned who has passed the order under section 7A/7B to exercise the powers under section 7C to determine the escaped amount or may do it himself/herself treating the order passed under section 7A as an order passed by himself/herself in exercise of their original jurisdiction. However, the power shall be exercised by one of the two only in each case.

2.9 Handling of Cases remanded back by Courts

At times, 7A/7B/7C cases are remanded back by the Tribunal/High Courts for adjudication afresh. Many a times, these are time bound as well.

Therefore, HO directions are that hearing of remanded back cases are to be conducted by an officer administratively one level higher than the original adjudicating officer as detailed below:

S. No	Authority having passed the Order u/s 7A/7B/7C	Authority to hear remanded back case			
		If APFC in (2) is in-charge of DO	RO where RPFC-II is in-charge	In Region where RPFC-I is in-charge, and no RC-II is posted	In Region where RPFC-I is in-charge and where RPFC-II is/are also posted
(1)	(2)	(3)	(4)	(5)	(6)
1.	APFC	RPFC-II of Region (including DO) concerned	RPFC II	RPFC-I	RPFC-II
2.	RPFC-II	NA	ACC-in-Charge /RPFC-I of ZO to whom that case is assigned by ACC-in-Charge	NA	RPFC-I
3.	RPFC-I	NA	NA	ACC-in-Charge	ACC-in-Charge

2.10 Timeline

1

The proceedings under section 7A of the Act should be concluded within

- Six (06) months of initiation preferably
- One (01) year positively

2

ACC-in-Charge of the Zone should review cases pending beyond six (6) months every month in the monthly reviews/ O&M Meetings

3

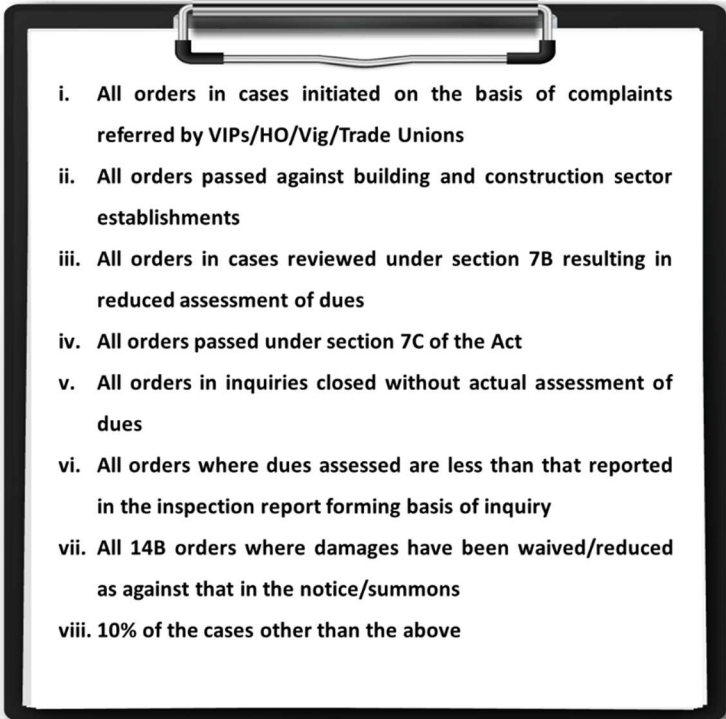
All such cases that remain pending even after the passage of one (1) year since the initiation of inquiry, shall be examined by the ACC of the Zone who shall forward the reasons along with her/his comments & proposal, if any, to ACC(HQ) Compliance at HO by 21st of each month following the month in which the pending inquiry has spilled over beyond one year

2.11 Administrative scrutiny of Orders

2.11.1 Supervisory test check or scrutiny of quasi-judicial orders is essential not only for capacity building of officers through regular guidance and feedback for improving the quality of orders but also to take prompt remedial measures in case of any omission, mistake, or irregularity. It is for this reason that it is imperative that a certain percentage of orders passed in inquiries and proceedings are subjected to supervisory test-check each month. The matrix for scrutiny is as under:

S. No	Authority having passed the Order u/s 7A/7B/7C	Officer to conduct Administrative scrutiny of Order		
		If APFC in (2) is in-charge of DO	RO where RPFC-II is in-charge	RO where RPFC-I is in-charge
(1)	(2)	(3)	(4)	(5)
1.	APFC	RPFC-II of RO (RPFC-I in case no RPFC-II is posted in RO)	RPFC II	RPFC II (RPFC-I in case no RPFC-II is posted in RO)
2.	RPFC II	NA	ACC-in-Charge/RPFC-I of ZO to whom the work is assigned	RPFC I
3.	RPFC I	NA	NA	ACC-in-Charge

2.11.2 Administrative scrutiny of orders is to be carried out in the following cases every month:

- 
- i. All orders in cases initiated on the basis of complaints referred by VIPs/HO/Vig/Trade Unions
 - ii. All orders passed against building and construction sector establishments
 - iii. All orders in cases reviewed under section 7B resulting in reduced assessment of dues
 - iv. All orders passed under section 7C of the Act
 - v. All orders in inquiries closed without actual assessment of dues
 - vi. All orders where dues assessed are less than that reported in the inspection report forming basis of inquiry
 - vii. All 14B orders where damages have been waived/reduced as against that in the notice/summons
 - viii. 10% of the cases other than the above

- 2.11.3 Standard proforma for conducting the scrutiny is placed at **ST 8** for maintaining uniformity.
- 2.11.4 Observations in the standard proforma shall be communicated to the officer concerned under intimation to next higher authority by 15th of the following month.
- 2.11.5 During the scrutiny, wherever it is felt necessary to get the provisions of sections 7B/7C invoked, recommendation of the same is to be given immediately by the officer who has done the test-check/ scrutiny of the order. Ensuring action in this regard is also the responsibility of the officer concerned who has/should have done scrutiny of the order.
- 2.11.6 During the scrutiny of orders passed under sections 7A/7B/7C, if it is observed that the decision is not in accordance with law, provisions of section 7 I should immediately be got invoked. The officer who has/should have done the scrutiny, is required to do the same. He shall get an appeal filed under section 7I against the said 7A/7B/7C order to protect the interest of the members/employees and /or the Organisation.
- 2.11.7 Quarterly report shall be submitted by the Zonal Office in **ST 9** to Compliance Division (Vertical-IV.9) Head Office for the quarters ending June, September, December, and March of a year by the last working day of July, October, January, and April respectively.

2.12 Indicative Structure of the order u/s 7A

- 2.12.1 The order issued by the Assessing Officer should be a “speaking order”. Speaking order may be defined as an order which contains not only the conclusions and directions but also the reasons that have led to the conclusions. A speaking order speaks for itself and is considered the third pillar of natural justice. It builds up trust and confidence in the system and introduces fairness. The requirement of recording of reasons and communication thereof are considered as an integral part of the concept of just and fair administrative and judicial procedure and very important facet of natural justice. Failure to give reasons could lead to a very justifiable complaint that there was a breach of natural justice. Non- speaking order is illegal and against the principle of natural justice.
- 2.12.2 Accordingly, to ensure that the orders do not suffer from any procedural infirmity, an indicative structure is provided below for guidance. It is made clear that the same is for guidance purpose

only and may be suitably amended and adapted keeping in view the needs and nature of the inquiry.

Sub-Head	Details
Basic Introduction of the establishment	This part should include basic introduction of the establishment like Code No. etc.,
Background of the 7A	This part would include citing of the inspection report/ other credible information being the basis of initiation of 7A inquiry, date of issue of summons and details of specific documents summoned at the time of initiation of enquiry, if any.
Appearance During the inquiry	This part would include persons appearing on behalf of the establishment, appearing on behalf of the department and complainant, if any. This part should also include only the specific dates of hearing. Thus, a bare perusal of the order would show the number of opportunities provided to the establishment as well as appearances during the enquiry. The service of summons to the establishment/complainant should be specifically recorded by the Assessing Officer.
Records produced during the inquiry	This part should list out in detail of records produced by the parties during the inquiry. At the same time, if complete set of records are not produced by the establishment/complainant as summoned, a comparative summary of records not produced despite summons/notices can be mentioned in this part.
Submission of the establishment	This part should elaborately record submission made by the establishment during the inquiry.
Submission of the Complainant if any	This part should include submission of the complainant, if any, in detail
Submission of DR	This part would include details of viewpoint of the EPFO

Sub-Head	Details
	represented through DR
Deliberation recorded in the Daily Order Sheet	Any specific event/issue recorded in the Daily Order Sheet or any serious development during the proceeding should find mention in this part, to highlight the intent of the establishment/complainant before any Appellate Forum/Court, if required. However, normal routine developments like adjournments, next date etc. should not be recorded in this part.
Rule Provision	This part of the order may specifically contain rule provisions as appearing in Act/scheme.
Analysis of facts/evidence vis-a vis rule provisions	This part should contain the analysis of the facts and evidence produced before the assessing officer vis-a-vis relevant rule provision quoted in preceding paragraphs. This part should deal with each, and every aspect of facts/evidence raised by either establishment/EO or complainant if any. The reasons for reaching a particular conclusion may be specifically highlighted in this part. The reasons for accepting/rejecting either establishment or DR or complainant's submission may also find specific mention in this part of the order.
Finding based upon analysis of facts/evidence vis-a-vis Rule provisions	This part should record findings of the Assessing Officer with respect to each issue raised during the proceeding. Since the basis of arriving at any conclusion is already mentioned in the preceding part, repetition of the same may not be required at this stage.
Order	This part would contain details of the final order i.e., either assessment or decision regarding applicability. In case of assessment, however, since the period of inquiry is specific, to avoid any kind of confusion, the amount determined must be mentioned month-wise as

Sub-Head	Details
	A. Amount due for the period, B. Amount already deposited and C. Residual amount due from the establishment. However, it is only the residual amount that should be reflected as Amount due from the establishment.

2.12.3 All orders passed under sections 7A/14B etc. are in public domain; required to be uploaded on e-Proceedings Portal. In addition, PDNASS is also compiling repository of selected orders which may be consulted for guidance purpose.

*****CHAPTER END*****

CHAPTER 3 : LEVY OF DAMAGES U/S 14B

3. Levy of Damages u/s 14B

3.1 Rule Provisions – Acts & Schemes

- 3.1.1 Section 14B of the Act, paragraphs 32-A and 32-B of the EPF Scheme, paragraph 5 of the EPS and paragraphs 8-A and 8-B of the EDLI Scheme deal with recovery of damages.
- 3.1.2 Section 14B of the Act stipulates that where an employer makes default in the payment of any contribution to the Provident Fund, the Pension Fund or the Insurance Fund or in the transfer of accumulations required to be transferred by him under sub-section 2 of section 15 (*i.e. on application of the Act to the establishment*) or sub-section 5 of section 17 (*i.e. on cancellation of exemption of an establishment*) or in the payment of any charges payable under any other provision of this Act or of any Scheme or Insurance Scheme or under any of the conditions specified under section 17, the Central Provident Fund Commissioner or such other officer[#] as may be authorised by the Central Government, by notification in the Official Gazette, in this behalf **may recover from the employer by way of penalty such damages, not exceeding the amount of arrears, as may be specified in the Scheme***.

(Words in italics supplied for clarity)

* - The provision contained under the Act that **“may recover from the employer by way of penalty such damages, not exceeding the amount of arrears, as may be specified in the Scheme”** was substituted for the words - **“from the employer such damages not exceeding the amount of arrears as it may think fit to impose”** by Act No.33 of 1988 w.e.f. 1.09.1991.

Hon’ble Apex Court has further clarified the position in civil appeal no 2136 of 2012 (***Horticulture Experiment Station Gonikoppal, Coorg v/s the Regional Provident Fund Organisation***). Para 17 of the judgment dated 23.2.2022 is reproduced:

“Taking note of three-Judge Bench judgment of this Court in Union of India and Others v. Dharmendra Textile Processors and others (supra), which is indeed binding on us, we are of the

considered view that any default or delay in the payment of EPF contribution by the employer under the Act is a *sine qua non* for imposition of levy of damages under Section 14B of the Act 1952 and *mens rea* or *actus reus* is not an essential element for imposing penalty/damages for breach of civil obligations/liabilities.”

- The power as referred above has been delegated to officers up to the rank of APFCs vide Gol notification number SO 1553 dated 17.04.2002

- 3.1.3 Provided that before levying and recovering such damages, the employer shall be given a reasonable opportunity of being heard.
- 3.1.4 Provided further that the Central Board may reduce or waive the damages levied under this section in relation to an establishment which is a sick industrial company and in respect of which a scheme for rehabilitation has been sanctioned by the Board for Industrial and Financial Reconstruction established under section 4 of the Sick Industrial Companies (Special Provisions) Act, 1985 (1 of 1986), subject to such terms and conditions as may be specified in the Scheme.
- 3.1.5 The Code on Social Security, 2020 (CoSS), notified but yet to be enforced in entirety, has the following proviso under section 128 to take care of the present legal landscape:

“PROVIDED FURTHER that the Central Board or the Corporation as the case may be, may reduce or waive the damages levied under this section in relation to an establishment for which a resolution plan or repayment plan recommending such waiver has been approved by the adjudicating authority established under the Insolvency and Bankruptcy Code, 2016(31 of 2016) subject to the terms and conditions as may be specified by notification by the Central Government’.
- 3.1.6 Rates of Damages are prescribed in the respective schemes.
- 3.1.7 **Para 32 -A of the EPF Scheme** stipulates that where an employer makes default in the payment of any contribution to the fund, or in the transfer of accumulations required to be transferred by him under sub-section (2) of section 15 or sub-section (5) of section 17 of the Act or in the payment of any charges payable under any other provisions of the Act or Scheme or under any of the conditions specified under section 17 of the Act, the Central Provident Fund Commissioner or such

officer as may be authorised by the Central Government by notification in the Official Gazette, in this behalf, may recover from the employer by way of penalty, damages at the rates given below:-

Period of Default	Rate of damages : % of arrears per annum	
	w.e.f 01.09.1991	w.e.f 26.09.2008
a. Less than two months	17	5
b. Two months and above but less than four Months	22	10
c. Four months and above but less than six months	27	15
d. Six months and above	37	25

3.1.8 Similarly, para 5(1) of the Employees' Pension scheme specifies that where an employer makes default in the payment of any contribution to the Employees' Pension Fund, or in the payment of any charges payable under any other provisions of the Act or the Scheme, the Central Provident Fund Commissioner or such officer as may be authorised by the Central Government, by notification in the Official Gazette, in this behalf, may recover from the employer by way of penalty, damages at the rates given below:

Period of Default	Rate of damages : % of arrears per annum	
	w.e.f 01.09.1991	w.e.f 26.09.2008
a. Less than two months	17	5
b. Two months and above but less than four Months	22	10
c. Four months and above but less than six months	27	15
d. Six months and above	37	25

3.1.9 **Para 8-A of the EDLI Scheme** stipulates that where an employer makes default in the payment of any contribution to the Insurance Fund, or in the payment of any charges payable under any other provision of the Act or of the Scheme, the Central Provident Fund Commissioner or such officer as may be authorized by the Central Government, by notification in the Official Gazette, in this behalf, **may recover from the employer by way of penalty, damages at the rates mentioned below:-**

Period of Default	Rate of damages : % of arrears per annum	
	w.e.f 01.09.1991	w.e.f 26.09.2008
a. Less than two months	17	5
b. Two months and above but less than four Months	22	10
c. Four months and above but less than six months	27	15
d. Six months and above	37	25

3.2 Initiation of Proceedings

3.2.1 Whenever an employer makes late remittance of dues on Unified Portal, the system automatically calculates damages under section 14B & interest under section 7Q against the delayed remittances. An employer can generate the challan and make online payment against the auto calculated 14B/7Q amount.

3.2.2 Wherever the employer fails to make remittances on time and simultaneously, does not deposit the damages auto calculated by the system, as mentioned above, the same shall have to be levied and recovered by initiating proceeding under section 14B.

3.2.3 Periodic Desk Review (PDR) of an establishment is to be undertaken once every year in view of instructions contained in SOP for Inspection (**Annexure A**). DA of Default management and Current Recovery Vertical of the Compliance Circle will be responsible for generating the 14B and

7Q report of the establishment at the time of PDR. He is required to login to the Report module of application software and then to establishment- **Penal Damages 7Q and 14B.**

- 3.2.4 Specific establishment wise notice is generated under the sub head '**Notice and calculation sheet.**' The notice apart from the summary of calculation of dues under section 14B and 7Q of the Act has two annexures. Annexure A to the said notice contains month-wise list of specific delayed remittances wherein, due date, date of remittance, total days of belated remittance, total contribution paid and account wise liability under section 7Q and 14B for each instance of default are stated. Annexure B to the said notice contains details of such remittances where presentation dates are blank, or remittances not reconciled with the bank statement.
- 3.2.5 In case damages are to be levied on account of belated remittances made by the establishment, if any, the said report shall be put up along with the PDR noting for initiation of proceeding to the Circle Officer through SS. Screenshot of the application software is attached below for ready reference:

The screenshot shows a web browser window titled "ESTABLISHMENT >> Reports > PENAL DAMAGES 7Q AND 14B - Internet Explorer". The address bar shows "http://10.1.201.11/EPFOWEB/PenalDamagesvQ.do". The interface includes a header with user information: Office ID, Office Type, RO, Help, View Signature, EPFO Offices, SignOut, EPFO REPORTS, ITBAC, Version No (V2.0), Release No (9.42), User ID, User Name, Role (REPORTS), and Last Login Date & Time (Apr 19, 2022 5:45 PM). The main content area has a breadcrumb "ESTABLISHMENT >> Reports > PENAL DAMAGES 7Q AND 14B" and an "Exit" link. Below this are three radio buttons: "List of Estt. against which PD is to be levied", "Notice & Calculation sheet" (selected), and "Details of Remittance of PD & Interest U/S 7Q". The "Notice & Calculation sheet" section contains fields for "Establishment ID" (with a dropdown showing "000"), "Period" (radio buttons for "All" and "Specified Range", with "All" selected), "From Date" (01/04/1996), "To Date" (19/04/2022), and "Select Mode" (PDF). There are "Submit" and "Clear" buttons. Below the form, a red message states: "It is advised to generate these reports after office hours only. During peak hour if work is going on, please do not generate these reports." Another red message says: "Report Generation May Take Few Minutes.... Please Don't Refresh/Click Submit Button More than once". The footer includes "© EPFO : All Rights Reserved" and "Best viewed in 1024x768 resolution in IE 5 and above." along with a logo.

- 3.2.6 The report module referred above also generates the list of all establishments for the entire office against which PD is to be levied. The list can be generated for any specified period or for specific

amount range to prioritize issuance of notices. Screenshot of the application software is attached below for comprehensive understanding.

The screenshot displays the EPFO MIS 3.0 web application interface for generating 'PENAL DAMAGES 7Q AND 14B' reports. The browser window title is 'ESTABLISHMENT >> Reports > PENAL DAMAGES 7Q AND 14B - Internet Explorer'. The URL is 'http://10.1.201.11:EPFOWEB/PenalDamagesvQ.de?saveDisplay&LinkId=3y0Ube339Gx8ucvVpZkRkrowmFN'. The header shows the user's role as 'REPORTS' and the last login date as 'Apr 19, 2022 5:45 PM'. The main form area has three radio buttons for report types: 'List of Estt. against which PD is to be levied' (selected), 'Notice & Calculation sheet', and 'Details of Remittance of PD & interest U/S 7Q'. Below these are input fields for 'ENF.Group' (501-ENF), 'Period' (All), 'From Date' (01/04/1996), 'To Date' (19/04/2022), 'Amount Range' (100001-200000), and 'Select Mode' (PDF). There are 'Submit' and 'Clear' buttons. A red warning message states: 'It is advised to generate these reports after office hours only. During peak hour if work is going on, please do not generate these reports. Report Generation May Take Few Minutes.... Please Don't Refresh/Click Submit Button More than once'. The footer includes '© EPFO . All Rights Reserved' and 'Best viewed in 1024x768 resolution in IE 5 and above.' along with the NIC logo.

- 3.2.7 Remittances made towards 14B/7Q dues are, however, not accounted for in the list generated through the application software as on date. MIS on the other hand provides the list on considering the payments made on the Unified Portal against the auto-calculated damages and interest.
- 3.2.8 The list of top establishments in terms of quantum of damages leviable should be extracted from the 14B-7Q report functionality on MIS 3.0 every month by the OIC and shall be allotted in descending order in such a manner that at least 10 cases are allotted on random basis to each Officer (except those to hold non-sensitive charges only) authorised to conduct 14B proceedings.
- 3.2.9 It goes without saying that the notices in these cases shall be generated from the application software by the circle concerned and diary number is obtained on the e-Proceedings portal in the manner stated in para 3.3.2, 3.3.3 & 3.3.4 below.

3.2.10 Since the Notices generated from application software do not take into account the payments made against auto-levied damages while the list of top establishments with maximum leviable damages is generated as at 3.2.8, due care should be taken while levying damages. Payment Position should be taken from MIS.

3.2.11 Directions have been issued to levy damages and interest where dues have been remitted/collected through modes other than ECR and corresponding VDR entries have been made (Head Office circular ref Compliance/M/EastCoastEnterprises/2021/14899 dated 16.12.2022). These payments need to be reconciled with ECRs, which should be collected promptly, and damages levied. As application software does not generate notices in these cases, manual intervention would be required. Substantial amount of dues remains pending for reconciliation and subsequent levy of damages.

Validation of default and issuance of notice

3.2.12 It has often been observed that damages are levied only for some specific period without reckoning the entire past period of default. Levying damages for broken periods should be avoided. Many a times, notices are also issued for overlapping periods covering those periods for which damages have already been levied. Such occurrences should also be avoided. Whenever a notice is generated, it should be ensured that it is from the last date up to which payments have been considered in the previous notice against which either damages have been levied/the 14B proceeding is underway/payment has been received against that notice. It should be for the period from the last date of payment reckoned in the previous notice till the current date so that any break in the period is ruled out and no period is left out. In exceptional cases where damages are to be intimated to some legal authority either *suo-moto* or on directions from such authority, damages may be levied on requirement basis.

3.2.13 Damages should be levied from a separate e-Office Proceedings file to which the e-Office Compliance file shall remain linked till the conclusion of proceeding. For each proceeding there shall be a separate file. On conclusion of 14B proceedings, the e-Office Proceedings file shall be merged with e-Office Compliance file.

3.3 Initiation & Conduct of Proceedings U/S 14B

3.3.1 Proceedings under section 14B of the Act are to be mandatorily conducted on **e- Proceedings portal** and **in virtual mode** only as is the direction for all inquiries/proceedings.

3.3.2 After generation of notice, the DA of Default management and Current Recovery Vertical of the Compliance Circle will get the same approved on file by the Circle Officer through Section Supervisor/SSSA-in-charge. The process flow and the timeline shall be as under:



3.3.3 The Dealing Assistant shall then file the case on e-Proceedings portal by first highlighting case type as 14B and 7Q through a dropdown menu. He then enters only establishment ID and details of the establishment are auto populated on the screen. The DA needs to then enter the amount involved, period involved and employee-strength of the establishment. Subsequently, by selecting document type as others, notice is to be uploaded in PDF format.

3.3.4 Diary number is generated by the e-Proceedings portal and the case is listed in automatic manner before the Officer-in-charge (having the Admin role on said portal) for allocation of such proceeding under section 14B of the Act. Cases are to be allocated in a randomised manner to each Officer authorised to conduct 14B proceedings (except those to hold non-sensitive charges only) as stated before.

3.3.5 Once the 14B proceeding is initiated, it shall be conducted in the same manner, with necessary adjustments, as specified for conducting inquiries in detail at para 2.3 of Chapter 2. In 14B cases, the SS/DA of the section shall attend the hearings through desktop available in office.

3.3.6 Notices under section 14B are however system generated and serve the purpose of summons as well. Therefore, notices under section 14B should be stamp marked with the diary number generated from the e-Proceedings Portal before forwarding it to the officer assigned the said

proceeding in a separate e-office Proceeding file. The amounts involved in the matters of section 14B of the Act should also be entered in the e-Proceedings Portal.

3.3.7 Allocation of cases to the competent authority is done as per existing guidelines in the following manner:

S. No	Membership in the Establishments	DO where APFC is in-charge	RO / DO where RPFC-II is in-charge	In RO where RPFC-I is in-charge, and no RC-II is posted	In RO where RPFC-I is in-charge and where RPFC-II is/are also posted
(1)	(2)	(3)	(4)	(5)	(6)
1.	Establishments with contributory UANs up to 250	APFC	APFC / (RPFC II of the DO concerned)	APFC	APFC
2.	Establishments with contributory UANs from 251 to 1000	RPFC-I / RPFC-II, as the case may be, in accordance with Cols. (4), (5) & (6)	RPFC-II/ Officer In-Charge	RPFC-I/ Officer In-Charge	RPFC-II
3.	Establishments with contributory UANs from 1001 onwards		RPFC-II/ Officer In-Charge in case of RO; RPFC-I of RO in case of DO		RPFC-I/ Officer In-Charge

NB: In case an establishment files multiple ECRs for a wage-month, the sum of all contributory UANs is to be reckoned.

3.3.8 However, cases remanded back shall be heard by the authority one step higher in hierarchy as under:

S. No	Authority having passed the Order u/s 7A/7B/7C	Authority to hear remanded back case			
		If APFC in (2) is in-charge of DO	RO where RPFC-II is in-charge	In Region where RPFC-I is in-charge, and no RC-II is posted	In Region where RPFC-I is in-charge and where RPFC-II is/are also posted
(1)	(2)	(3)	(4)	(5)	(6)
1.	APFC	RPFC-II of Region (including DO) concerned	RPFC II	RPFC-I	RPFC-II
2.	RPFC-II	NA	ACC-in-Charge /RPFC-I of ZO to whom the case is assigned by ACC-in-Charge	NA	RPFC-I
3.	RPFC-I	NA	NA	ACC-in-Charge	ACC-in-Charge

3.3.9 Member strength for allocation of cases is to be reckoned with reference to the subscriber strength immediately preceding the commencement of default (Last information available on record) as mentioned in paragraph 2.3.1(iv) of Chapter 2.

3.3.10 Before January 2016, the establishments were allowed a grace period of five days to remit the contributions which were to be remitted by 15th of the next month. This grace period of 5 days was allowed in view of the practice of manual processing of calculation of wages and dues of the employees at the end of Employers. Depositing dues in the bank also required additional time in the manual setup.

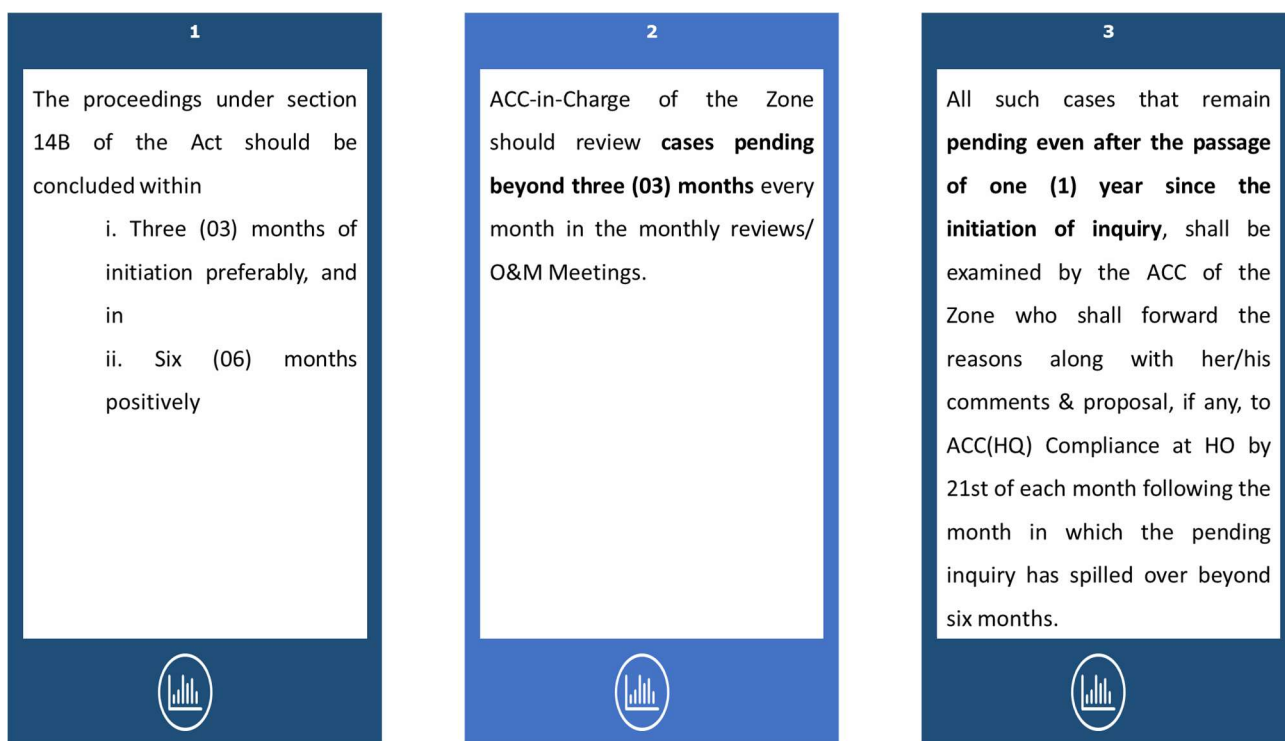
3.3.11 However, in view of computation of wages and EPF liabilities electronically, and in most cases on real time basis, introduction of ECR and deposit through internet banking, w.e.f. February 2016 (Contribution of January 2016, payable in February 2016), the concession to employers to remit dues during this grace period has been withdrawn.

3.3.12 In the old system of functioning when the employer was remitting dues through Cheque/Demand Draft, the date of presentation of cheque with the bank, as indicated in the challan or as verified from the acknowledgement given by the bank was taken as date of payment for the purpose of levy of Penal Damages.

3.3.13 However, w.e.f. September 2016, after introduction of mode of payment through internet banking, the date of debit from employer's account may be taken as date of payment for the purpose of levy of damages by way of penalty. Other issues e.g., delay in credit in EPFO account or delay in transfer of fund for investment by bank shall have to be dealt separately in accordance with banking agreements with different banks.

3.3.14 The final order should contain the period of belated remittances and quantum of default communicated through first notice, issue-wise response submitted by the establishment, issue-wise finding of the adjudicating officer and final period as well as quantum of penalty levied upon the establishment. Indicative structure of the order as provided in Chapter 2 may be suitably amended and utilised for the purpose.

3.4 Timeline



3.5 Knocking off of Auto Calculated Damages & Interest

- 3.5.1 Whenever an employer makes late remittances on unified portal, the system automatically calculates 14B/7Q against those delayed remittances. Employers can generate challan and make online payment against the auto calculated 14B/7Q amount.
- 3.5.2 However, instead of making payment against auto calculated 14B/7Q, some employers deposit dues under section 14B/7Q through miscellaneous challans. In such scenario, auto calculated 14B/7Q entries remain in the system as open entries and are shown as pending to employer and EPFO offices. To overcome this issue, a provision to knock off the auto calculated 14B/7Q with miscellaneous challan has been provided at FO INTERFACE.
- 3.5.3 Under this functionality, Dealing Assistant can select the auto calculated 14B/7Q entry and adjust the amount with available miscellaneous challans. This is a two-level function. After submission by the Dealing Assistant, the task moves to the Section Supervisor for approval. After approval, auto calculated entry will be removed from the pending list at Employer Portal.
- 3.5.4 DA shall login in the FO INTERFACE and open the functionality “14B/7Q Knock Off >> ECR 7Q 14B Knock off Misc. Challan”. The Establishment ID is to be entered and searched. All 7Q and 14B auto-calculated challans which are pending at Employer login will appear.
- 3.5.5 With the functionality, “Adjust Damages”, all the miscellaneous challans paid by the employer at Employer interface are reflected under the grid “Available Miscellaneous Challan of 7Q/14B”. The Dealing Assistant then needs to use “Knock Off Challan” functionality. After that the Miscellaneous Challan amount will display against “Knock Off Amount” row in the grid of “7Q/14B Challan Details (Auto Calculated)”.
- 3.5.6 If number of miscellaneous challans is less than the auto-calculated entry, balance amount will be shown against the row “Balance Amount”. Until Knock Off amount is equal to “Original Amount”, Dealing Assistant is to select another miscellaneous challan for adjustment of auto calculated entry.

- 3.5.7 On the radio button “Adjust Damages”, all the miscellaneous challan paid by the employer at Employer Interface are shown under the grid “Available Miscellaneous Challan of 7Q/14B”. After selecting the TRRN available in the grid of “Available Miscellaneous Challan of 7Q/14B”, Knock Off Challan needs to be approved by the Dealing Assistant.
- 3.5.8 SS will login in FOINTERFACE and open the Functionality “14B/7Q Knock Off>> Approve ECR7Q14B Knockoff Misc. Challans.” SS can view the :7Q/14B A/c wise Original Details” and “Redeemed Miscellaneous Challans”. This can be approved by the SS.
- 3.5.9 DA (Damages)/SS (Damages) can also view the list of pending, approved, and rejected list of 14B/7Q Knock Off Challan.

3.6 Penal Damages in Respect of Exempted Establishments

- 3.6.1 Provisions of section 14B of the Act are applicable to exempted as well as un- exempted establishments.
- 3.6.2 Establishments exempted from the EPF Scheme, transfer PF contributions to their recognised PF Trusts, while pension contribution is paid to EPFO.
- 3.6.3 Hence, the application software contains details of remittances made under various accounts except account no.1. Accordingly, notice through application software contains delays as well as the quantum of PD against each period of default, if any in respect of all accounts, except account no.1. *(Establishments exempted from the EPS & EDLI Scheme shall not be remitting contributions under account no 10 & 21 as well)*
- 3.6.4 However, the exempted establishment are required to file monthly returns online. Part D of the monthly return contains the details of contributions transferred by the establishment to the trust as well as the date of transfer. It can be a basis for scrutiny for levying Penal Damages in case of delayed remittances.
- 3.6.5 In addition, reports of compliance audit of exempted establishments conducted annually identifies instances of delayed remittances made by exempted establishments to their PF Trusts.

- 3.6.6 Generation of notice for delay in EPF remittance by such establishments is to be done manually.
- 3.6.7 After cancellation/ surrender of exemption, in accordance with provision contained in para 28 of the EPF scheme, the transfer of entire accumulation available with the PF trust is to be done within thirty (30) days in case of securities and within ten (10) days of the cancellation of the exemption in case of liquid cash in bank.
- 3.6.8 Any delay beyond the stipulated time limit provided under para 28 of the EPF scheme attracts damages leviable under section 14B of the Act.

3.7 Waiver of Damages

- 3.7.1 Second proviso to section 14B of the Act empowers the Central Board of Trustees to reduce or waive the damages levied under this section in relation to an establishment which is a sick industrial company and in respect of which a scheme for rehabilitation has been sanctioned by the Board for Industrial and Financial Reconstruction established under section 4 of the Sick Industrial Companies (Special Provisions) Act, 1985 (1 of 1986), subject to such terms and conditions as may be specified in the Scheme.
- 3.7.2 Para 32-B of the EPF Scheme /para 8-B of the EDLI Scheme, specify the terms and conditions for waiver of Penal Damages in the following manner:

The Central Board may reduce or waive the damages levied under section 14B of the Act in relation to an establishment specified in the second proviso to section 14B, subject to the following terms and conditions, namely: —

1

in case of a change of management including transfer of the undertaking to workers' co-operative and in case of merger or amalgamation of the sick industrial company with any other industrial company, complete waiver of damages may be allowed

2

in cases where the Board for Industrial and Financial Reconstruction, for reasons to be recorded in its schemes, in this behalf recommends, waiver of damages up to 100 percent may be allowed

3

in other cases, depending on merits, reduction of damages up to 50 per cent may be allowed.

- 3.7.3 Proposal for waiver/ reduction of Penal Damages shall be forwarded to the Recovery Division of Head Office for consideration of the Central Board of Trustee after thorough scrutiny of facts and circumstances of the case and with a categorical recommendation of the RPFC-I/RPFC II of the Region through ACC of the Zone. ACC in-charge of the Zone shall examine the proposal and forward the same along with her/his own recommendation.
- 3.7.4 The proposal for waiver/reduction should be forwarded to the Recovery Division of the Head Office in the standard proforma prescribed. **(ST 14)**
- 3.7.5 The Proposal should contain amongst other information, following specific details of the establishment:

Period Prior to 01.07.1997			
Period of Default	Damages	Actual Interest Component	Amount eligible for Waiver

Period from 01.07.1997 to ...				
Period of Default	Damages levied	Actual Interest Component	Amount Eligible for waiver	Interest levied Under section 7Q

Total Period of Default			
Period of Default	Damages	Actual Recommended for Waiver	Amount eligible for Waiver

*****CHAPTER END*****

CHAPTER 4 : RESOLUTION OF MEMBERSHIP U/P 26B OF THE EPF SCHEME or U/P 8 OF THE EPS

4. Resolution of Membership Doubts u/p 26B of the EPF Scheme, u/p 8 Of the EPS

4.1 Introduction

4.1.1 Paragraph 26B of the EPF Scheme, 1952 deals with the issue of resolution of doubts regarding membership of the EPF Scheme.

4.1.2 If any question arises as to whether an employee is

- Entitled to become, or
- Required to become, or
- Continue as, a member, or
- As to the date from which he/she is so entitled or required to become a member,

the same shall be referred to the Regional Provident Fund Commissioner who shall decide the same.

4.1.3 Provided that both the employer and the employee shall be heard before passing any order in the matter.

4.1.4 Paragraph 8 of the EPS deals with doubts arising regarding EPS membership.

4.1.5 Paragraph 8 of EPS states that in case of any doubt arising regarding entitlement of an employee to become a member of EPS, the same shall be referred to the Regional Provident Fund Commissioner who shall decide the same.

Provided that both the employer and the employee shall be heard before passing any order in the matter.

4.2 Basic Premises

4.2.1 The matter shall be decided by the Regional Provident Fund Commissioner. There is no distinction of RPFC I and RPFC II in the Act/Schemes; any of them can resolve the doubt under these paragraphs.

4.2.2 The individual(s) whose entitlement of membership is to be decided under these paragraphs must be employee(s) as defined under section 2(f) of the Act. His status as employee should not be in dispute. It should be the admitted position. Any dispute with regard to nature of engagement - whether an individual is an employee or not- shall be decided under section 7A while determining the dues, treating it as any other usual case of evasion while testing the engagement on the touchstone of sec 2(f) of the Act. Where need be, the adjudicating authority has to 'pierce the veil/lift the cloak' to find out the nature of engagement during the inquiry under section 7A itself.

4.3 Background

4.3.1 Before amendment of the EPF Scheme which substituted old paragraph 26 with a new one through notification no GSR 689 dated 19.10.1990, there was a qualifying period of service for attaining the entitlement for membership of the EPF Scheme. Before 01.01.1990, only after putting in three months of continuous service or 60 days of actual work within a period of 3 months or less, an employee attained qualification for membership of the EPF Scheme. The qualifying period was even more than that further back. This requirement of qualifying period of service left ample scope for disputes regarding membership; what is continuous service, how to treat half-day work, what about service rendered under the same employer in an uncovered establishment and numerous such situations. Government of India vide notification dated 19.10.1990 referred above amended the EPF Scheme with effect of 1.1.1990 doing away with any qualifying period of service for membership. Post amendment, the number of cases arising under paragraph 26 B are few and far between.

Moreover, there was a practice of allowing membership of the old Pension Scheme (Employees' Family Pension Scheme, 1971) from the date of discovery while that of EPF Scheme from the date of applicability which too has been done away with since 3.8.1996 in view of judgment dated

17.02.1995 of Hon'ble High Court of Gujarat in SCA no 9781 of 1994 (*Smt Arvindhbai Seth v/s Union of India*)

- 4.3.2 The existing paragraph 26B has been inserted vide notification no GSR 320 (E) dated 06.05.2014 (with effect from 07.04.2014) which reads as under:

"If any question arises as to whether an employee is entitled to, or required to become, or continue as, a member, or as to the date from which he is so entitled or required to become a member, the same shall be referred to the Regional Provident Fund Commissioner who shall decide the same: Provided that both the employer and the employee shall be heard before passing any order in the matter."

Paragraph 26B, before the substitution, read as under:

"If any question arises whether an employee is entitled or required to become or continue as a member, or as regards the date from which he is so entitled or required to become a member, the decision thereon of the Regional Commissioner shall be final: Provided that no decision shall be given unless both the employer and the employee has been heard."

As may be observed that since 7.5.2014, it is mandatory that the resolution of doubt is done through an order. The substituted paragraph had no mention of any reference to be made and requirement of passing an order to resolve the dispute. Observations of the Hon'ble Madras High Court [*Frontier Lifeline Pvt Ltd, represented by its Finance Controller v/s Regional Provident Fund Commissioner, EPF Organisation, Mugappair (East), Chennai in WP No. 22958 of 2009* decided on 18.10.2011] that "proceedings under para 26 B are summary in nature" no more applies.

4.4 Trigger Points for Requirement of Proceeding u/p 26B Of EPF Scheme/ 8 Of EPS

- i. A complaint is made by an employee, e.g., an apprentice not engaged as such under the Apprentices Act, 1961/ Standing orders of the establishment or an employee treated as excluded, alleging non-enrolment by the employer into the EPF Scheme/EPS.

- ii. An observation is made by an inspector appointed under Section 13(1) regarding non-enrolment of an eligible employee belonging to any establishment.
- iii. Any dispute arising regarding eligibility for enrolment in respect of an employee/ employees which arises during the course of inquiry being held under Section 7A of the Act.
- iv. A complaint is made by a trade union or any other body or person regarding non-enrolment of eligible employees into the EPF Scheme/EPs

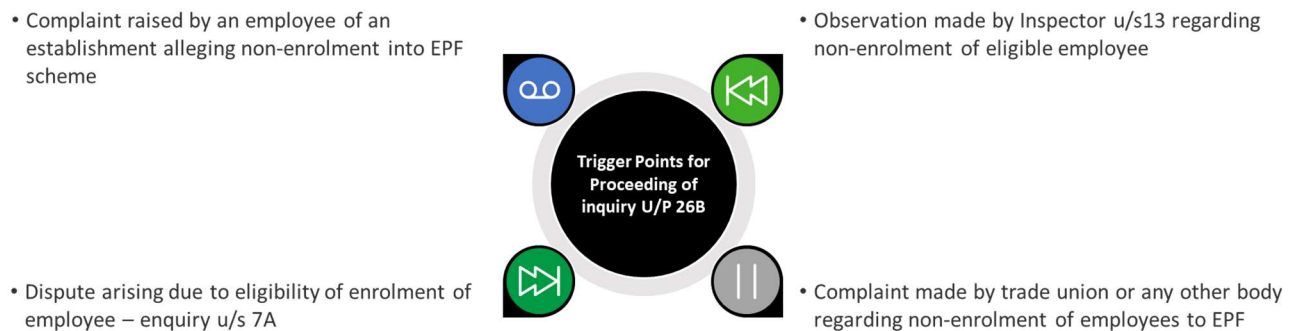


Figure 7 : Triggers Points for Proceeding u/p 26B

4.5 Case of Student-Trainees

The Central Government has initiated several programmes for skill-imparting and skill-development to enhance the employability of youths in India. In the light of these developments several institutes have launched courses for skill development / upskilling and are deputing the youths to industry partners. However, in the garb of imparting training, several instances have come to notice where employees are disguised as student-trainees to avoid statutory payments. Therefore, an indicative list of tests has been provided here under to ascertain the exact nature of engagement of such individuals.

- i. The educational/technical institute/University and the academic course in which a student-trainee is enrolled shall be recognized by the competent authority.

- ii. "On-the-job-training" shall be an integral component of such course.
- iii. "On-the-job-training" shall not exceed the period as may be specified in such course.
- iv. In case a student-trainee does not complete the training within the specified time including the period of extension, if any, as may be specified in such course, s/he shall cease to be student-trainee.
- v. The industry shall engage a student-trainees who is pursuing the course which are relevant to the industry.
- vi. The number of such student-trainee should not exceed such per cent of the total workforce employed in the concerned factory/branch of an establishment as may be specified in a scheme or a similar scheme of the Central/State Government.
- vii. The engagement of student-trainees shall not be for a purpose other than as specified in such course/scheme.

4.6 Procedure for Initiation and Conduct of Proceeding u/p 26B

- 4.6.1 As soon as a dispute is raised, a preliminary assessment should be made on the basis of extant rules and procedures as to whether there are sufficient grounds to invoke the provisions of Para 26B of the EPF Scheme.
- 4.6.2 Manner of initiation and conduct of proceeding under para 26B on e-Proceedings portal and timelines for uploading the daily orders, final orders etc. shall be the same as prescribed for 7A inquiries in Chapter 2(para 2.3).
- 4.6.3 In case of non-compliance of the order passed under para 26B of the EPF Scheme which resulted in holding an employee(s) to be eligible for enrolment, action under Section 7A of the Act should be initiated for determination of dues.

Provisions of Section 7A and Para 26B

S. No	Section 7A of the Act	Para 26B of the EPF Scheme/Para 8 of EPS
1.	Provision available in the Act (Primary Legislation).	Provision available in the Scheme (Subordinate Legislation).
2.	Grants power to decide applicability of the Act to an establishment and to determine dues payable under the Act/Schemes.	Grants power to resolve doubts regarding membership of an employee and date of entitlement to such membership.
3.	May be initiated even when the Act has not been made applicable.	After application of the Act only.

*****CHAPTER END*****

CHAPTER 5 : PENAL PROVISIONS

5. Penal Provisions

5.1 Introduction

5.1.1 Every legislation which is put on statute book is meant to be implemented &, therefore, invariably contains penal provisions i.e., consequences that will follow on contraventions and violations. So is the case with the EPF & MP Act, 1952.

5.1.2 Broadly the violations/irregularities that EPFO comes across during the course of implementation of the Act/schemes are of the nature of:

- Non-remittance of dues (part or full) within stipulated time;
- Non-submission of statutory returns in stipulated time;
- Non-compliance or contravention of any provision of the Act/ Schemes;
- Submission of false return/ statement/ representation with a view to avoid any payment;
- Obstruction to Inspector in discharge of his duty

5.1.3 Sections 14(1), 14(1A), 14(1B), 14(2), 14(2A), 14A and 14AA of the Act; Para 76 of the EPF Scheme, 1952; Para 42 of the EPS, 1995; and Para 29 of the EDLI Scheme, 1976 list out the offences and penalties for violation of the provisions.

Section 14(1)

Penalties—(1) Whoever, for the purpose of avoiding any payment to be made by himself under this Act [the Scheme [the [Pension] Scheme or the Insurance Scheme]] or of enabling any other person to avoid such payment, knowingly makes or causes to be made any false statement or false representation shall be punishable with imprisonment for a term which may extend to [one year, or with fine of five thousand rupees, or with both.]

Section 14(1A)

[(1A) An employer who contravenes, or makes default in complying with, the provisions of section 6 or clause (a) of sub-section (3) of section 17 in so far as it relates to the payment of inspection charges, or paragraph 38 of the Scheme in so far as it relates to the payment of administrative charges, shall be punishable with imprisonment for a term which may extend to [three years] but—

(a) which shall not be less than [one year and a fine of ten thousand rupees] in case of default in payment of the employees' contribution which has been deducted by the employer from the employees' wages;

[(b) which shall not be less than six months and a fine of five thousand rupees, in any other case;]

Provided that the court may, for any adequate and special reasons to be recorded in the judgment, impose a sentence of imprisonment for a lesser term.]

Section 14(1B)

[(1B) An employer who contravenes, or makes default in complying with, the provisions of section 6C, or clause (a) of sub-section (3A) of section 17 in so far as it relates to the payment of inspection charges, shall be punishable with imprisonment for a term which may extend to [one year] but which shall not be less than [six months] and shall also be liable to fine which may extend to [five thousand rupees]:

Provided that the court may, for any adequate and special reasons to be recorded in the judgment, impose a sentence of imprisonment for a lesser term.

Section 14(2)

(2) [Subject to the provisions of this Act, the Scheme] [, the [Pension Scheme or the Insurance Scheme] may provide that any person who contravenes, or makes default in complying with, any of the provisions thereof shall be punishable with imprisonment for a term which may extend [one year, or with fine which may extend to four thousand rupees, or with both].

Section 14(2A)

[(2A) Whoever contravenes or makes default in complying with any provision of this Act or of any condition subject to which exemption was granted under section 17 shall, if no other penalty is elsewhere provided by or under this Act for such contravention or non-compliance, be punishable with imprisonment which may extend to [six months, but which shall not be less than one month, and shall also be liable to fine which may extend to five thousand rupees.]

Section 14(A)

[14A. Offences by companies—(1) If the person committing an offence under this Act [, the Scheme or [the [Pension] Scheme or the Insurance Scheme]] is a company, every person, who at the time the offence was committed was in charge of, and was responsible to, the company for the conduct of the business of the company, as well as the company, shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly:

Provided that nothing contained in this sub-section shall render any such person liable to any punishment, if he proves that the offence was committed without his knowledge or that he exercised all due diligence to prevent the commission of such offence.

(2) Notwithstanding anything contained in sub-section (1), where an offence under this Act [,the Scheme or [the [Pension] Scheme or the Insurance Scheme]] has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or is attributable to, any neglect on the part of, any director or manager, secretary or other officer of the company, such director, manager, secretary or other officer shall be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly.

Explanation—For the purposes of this section—

- (a) “company” means anybody corporate and includes a firm and other association of individuals; and
- (b) “director” in relation to a firm, means a partner in the firm.

Section 14(AA)

[14AA. Enhanced punishment in certain cases after previous conviction.—Whoever, having been convicted by a Court of an offence punishable under this Act, the Scheme or [the [Pension] Scheme or the Insurance Scheme], commits the same offence shall be subject for every such subsequent offence to imprisonment for a term which may extend to [five years, but which shall not be less than two years, and shall also be liable to a fine of twenty-five thousand rupees].

- 5.1.4 Section 14AB clarifies that notwithstanding anything contained in the Code of Criminal Procedure, 1973, an offence relating to default in payment of contribution by the employer punishable under the EPF & MP Act, 1952 shall be cognizable.

5.1.5 The penal provisions are invoked through -

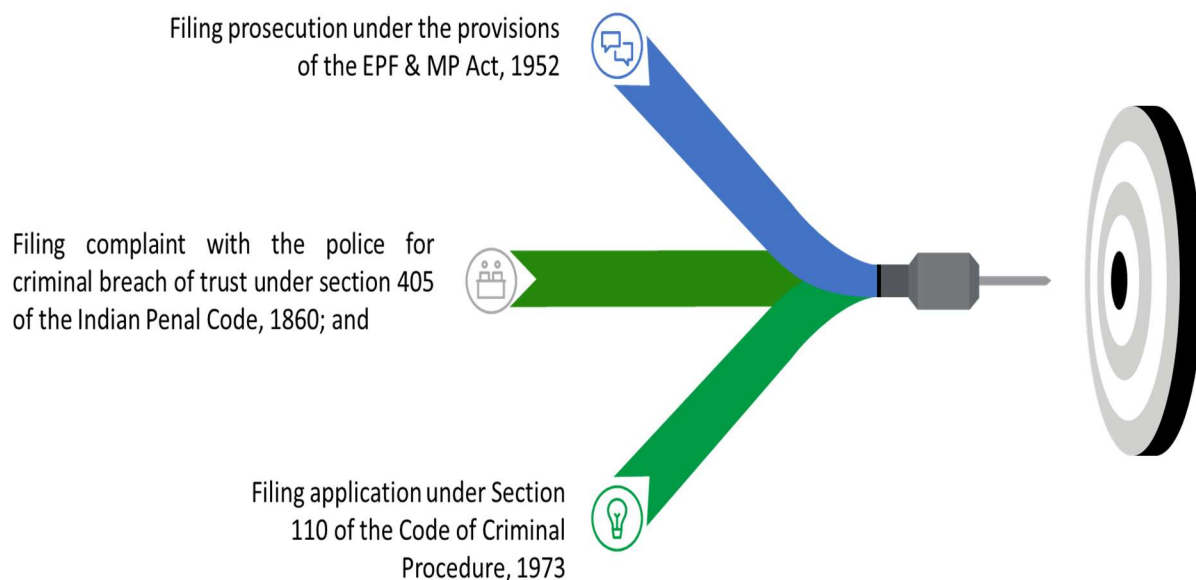


Figure 8 : Invoking of Penal Provisions

5.1.6 Technically speaking, penal actions above may be initiated simultaneously with other actions, duly complying with the requirements as explained in this Chapter, so as to secure compliance under the Act/Schemes.

5.1.7 However, prosecutions need not be filed in routine manner as launching prosecution which goes on for years has not been an effective means either to secure compliance or to deter the establishments from committing defaults. Filing of prosecutions must be selective. The purpose of prosecution should be to ensure punishment which may be exemplary in nature. Accordingly, prosecution as a means of securing compliance should be used sparingly until and unless all other methods of bringing the defaulter to mainstream have failed. However, once filed it should be followed through to achieve the logical conclusion and thus the desired demonstration and exemplary effect.

5.1.8 It is worth mentioning here that the Code on Social Security, 2020, enacted though yet to be enforced in entirety, do have provision for compounding of offences punishable with fine only/ punishable with imprisonment for a term not more than one year and also with fine, under section 138 subject to conditions specified.

5.1.9 Section 14AC of the Act provides that no court shall take cognizance of any offence punishable under the Act/Schemes except on a report in writing of the facts constituting such offence made with the previous sanction of the CPFC or such other officer as may be authorized by the Central Government by notification. The Central Government vide notification no. SO 549(E) dated 01.11.1973 has delegated this power to Regional Provident Fund Commissioners for exercising the same in their respective jurisdictions. Therefore, no authority below RPFC should sanction prosecution. Here again, there is no distinction of RPFC I or RPFC II.

5.2 Prosecution

5.2.1 Importance of Form 5A

- i. Return of ownership in Form 5A is to be filed by the employer under paragraph 36A of the Employees' Provident Funds Scheme, 1952 at the time of application of the Act to the establishment and thereafter within 15 days of any change taking place in such particulars. Its importance as a basic document need not be overemphasized.
- ii. This Form 5A shall provide the details of employers & persons responsible while launching prosecution. Only such persons be impleaded in the penalty proceedings such as Managing Director/ Director in the case of a Company, Partners/Managing Partners in the case of a Partnership Firm, Manager in the case of a factory, Sole Proprietor in the case a Proprietorship concern.

5.2.2 Procedure to Follow

- i. It is imperative that a Show cause notice (SCN) is issued to the establishment/employer before launching prosecution. Indicative format of the Show Cause Notice is attached. **[ST 11]**
- ii. The Show Cause Notice should be issued from the e-Office Compliance file of the establishment allowing it at least Seven (07) working days to submit its reply.
- iii. If the violation is set right & intimated to the office, the matter ends there or else it is advisable that in case of default in remittance of dues, the dues are assessed first under section 7A & only thereafter, on expiry of the time allowed for compliance, prosecution is launched if the establishment remains non-compliant.

- iv. However, in case of other irregularities including non-submission of returns, prosecution may be launched straightaway after considering the reply submitted by the employer in response to the SCN/expiry of the time allowed for replying to the SCN.
- v. On receipt of sanction of prosecution from the RPFC, a written complaint should be filed by the Enforcement Officer in the competent Court of Law within 7 days of such receipt of sanction along with the following documents:

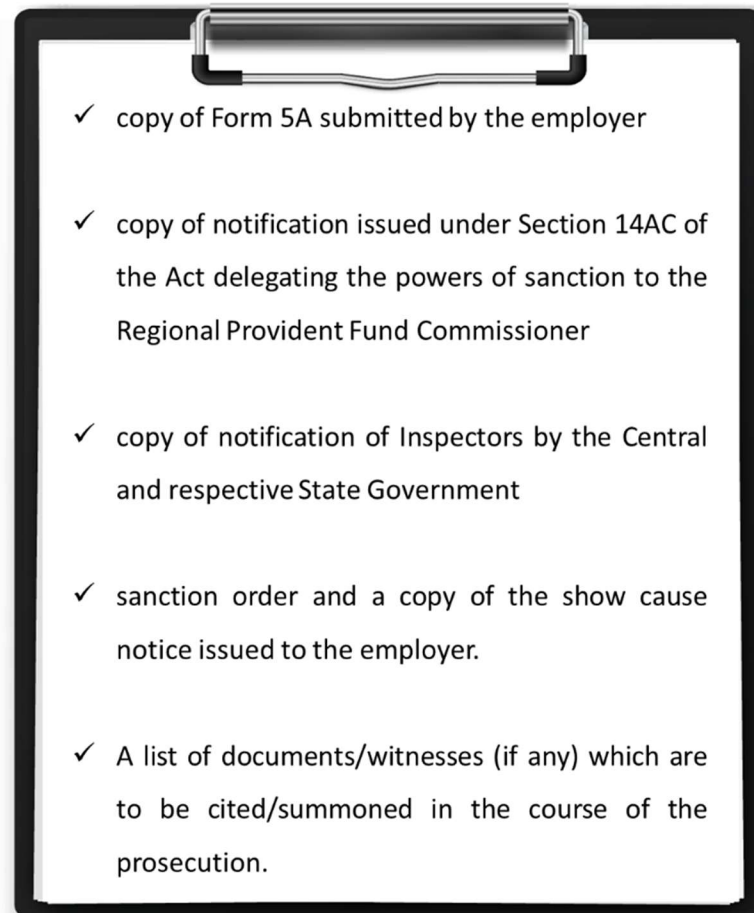


Figure 9 : List of documents for sanction

- vi. Section 14AC provides that no court shall take cognizance of any offence punishable under the Act/Schemes except on a report in writing of the facts constituting such offence made by an Inspector appointed under section 13 subject to the condition of previous sanction as provided in the section. Therefore, only somebody notified as Inspector can file the complaint.

- vii. Under Section 25 (1A) of the Code of Criminal Procedure, 1973, all the Inspectors, appointed under section 13(1) of the EPF & MP Act, 1952, are notified as Assistant Public Prosecutors for the purpose of conducting EPF cases, within their respective jurisdiction, in the Courts of Magistrates. [Ministry of Labour, Notification no. S-35024/1/88-SS II dated 19.01.1989]
- viii. Jurisdiction of the Inspectors has been notified by the Central Government vide SO 1913 dated 30.06.2009. Notifications have been issued by the respective states as well.
- ix. A set proforma prescribed for preparing the complaint may be used by the complainant Inspector with suitable changes wherever required for preparing the complaint, including the prosecution of exempted establishments.
- x. Sanction, once accorded, should under no circumstances be returned or withdrawn even when the accused employer makes good the default by subsequent remittance of dues or/and filing of returns. Once sanctioned, the prosecution needs to be filed.
- xi. In cases of habitual defaulters, special prayer should be made before the Court for awarding the maximum punishment including imprisonment prescribed under the Act.
- xii. Along with every complaint under Section 14AA (previous conviction for same offence cases), a certified copy of the previous judgment should be attached.

5.2.3 Misjoinder of Charges

- i. The Inspectors are well advised to file separate complaints before the Courts in respect of more than 3 offences of the same kind committed within a space of twelve months as required under Sections 218 and 219 of Code of Criminal procedure, 1973.
- ii. Each of the following is a separate offence for the purpose of Section 218 and 219 of the Code of Criminal Procedure, 1973. Non-remittance of Provident Fund or Pension or Deposit Linked Insurance contribution for each month is a separate offence.
 - Non-remittance of inspection charges and administrative charges for each month is a separate offence.
 - Non-submission of monthly returns, nomination, declaration, form 9(EPF) or form 5A is a separate offence.
- iii. It may be noted that separate complaints should be filed in respect of -

- Provident Fund and Pension Fund Contributions, Inspection Charges and Administrative Charges [Section 14(1A)]
 - Deposit Linked Insurance Fund Contributions, Inspection Charges and Administrative Charges [Section 14(1B)]
 - Under Section 14AA in case of repeated offences of all the above cases.
- iv. **If the above complaints are filed jointly**, it runs the risk of misjoinder of charges which may lead to dismissal of cases for this technical reason.

Code of Criminal Procedure, 1973

218. Separate charges for distinct offences. — (1) For every distinct offence of which any person is accused there shall be a separate charge, and every such charge shall be tried separately:

Provided that where the accused person, by an application in writing, so desires and the Magistrate is of opinion that such person is not likely to be prejudiced thereby, the Magistrate may try together all or any number of the charges framed against such person.

(2) Nothing in sub-section (1) shall affect the operation of the provisions of sections 219, 220, 221 and 223.

Illustration

A is accused of a theft on one occasion, and of causing grievous hurt on another occasion. A must be separately charged and separately tried for the theft and causing grievous hurt.

219. Three offences of same kind within year may be charged together. — (1) When a person is accused of more offences than one of the same kind committed within the space of twelve months from the first to the last of such offences, whether in respect of the same person or not, he may be charged with, and tried at one trial for, any number of them not exceeding three.

(2) Offences are of the same kind when they are punishable with the same amount of punishment under the same section of the Indian Penal Code (45 of 1860) or of any special or local law:

Provided that, for the purposes of this section, an offence punishable under section 379 of the Indian Penal Code (45 of 1860) shall be deemed to be an offence of the same kind as an offence punishable under section 380 of the said Code, and that an offence punishable under any section of the said Code, or of any special or local law, shall be deemed to be an offence of the same kind as an attempt to commit such offence, when such an attempt is an offence.

5.2.4 Persons liable to be impleaded in the Complaint

- i. The following persons are liable for offences under the Act and the various Schemes framed thereunder. As such they may be impleaded in the complaint filed before the court.

1. Where the accused is a company	i. the Company itself ii. every director/ Managing Director/ Manager/ Secretary or other responsible officer (as stated in Form 5A) of the company;
2. Where the accused is a partnership firm	i. the firm itself. ii. every partner including the Managing Partner. iii. Manager or other occupier (as stated in Form 5A) of the factory/ establishment.
3. Where the accused is a proprietary concern	i. The Proprietor himself/herself.

- ii. It may however be noted that while prosecuting, Official Receiver of a Company prior sanction of the Court by which such Receiver was appointed, may be obtained.

5.2.5 Withdrawal of Prosecution

- i. It should be ensured that once the prosecution is sanctioned by the competent authority, the complaint is filed by the Enforcement Officer in the appropriate court within a period of **seven working days** of such sanction.
- ii. Prosecutions once filed in the court of law should not be withdrawn under any circumstances whatsoever except with the prior and specific permission of the Central Provident Fund Commissioner. Section 257 of the Code of Criminal Procedure deals with withdrawal of prosecution complaints.

257. Withdrawal of complaint.— If a complainant, at any time before a final order is passed in any case under this Chapter, satisfies the Magistrate that there are sufficient grounds for permitting him to withdraw his complaint against the accused, or if there be more than one accused, against all or any of them, the Magistrate may permit him to withdraw the same, and shall thereupon acquit the accused against whom the complaint is so withdrawn.

- iii. Although the power of withdrawal of prosecution vests with the complainant, in order to maintain uniformity and fairness, approval of CPFC been made essential by way of administrative direction. Whenever any request from an employer for withdrawal of prosecution is received by the Regional Provident Fund Commissioner, he should before forwarding the proposal to the Central Provident Fund Commissioner for orders in the matter, ensure fulfilment of the following conditions:
- It has set right all the contraventions for which the complaint was filed;
 - The establishment has paid the damages levied on all belated remittances up to date as per the provisions of sec.14B of the EPF & MP Act, 1952. Interest due u/s 7Q has also been paid up to date by it.
 - It has reimbursed the legal & other expenses incurred in connection with the cases filed;
 - Current performance of the establishment is satisfactory in all respects;
 - The establishment has given an undertaking to RPFC to make prompt compliance with all the requirements under the Act/ Scheme in future.
- iv. The proposal should be forwarded in the standard format accompanied with the certificate prescribed by HO. **(ST 13)**
- v. As the employer seeking withdrawal of prosecution is required to pay the damages before his/her request is considered, it is necessary for the Regional Provident Fund Commissioners to levy, without delay, the quantum of damages payable by the employer after observing all the necessary formalities and the employer should be called upon to pay the damages before his/her request is forwarded to the Central Provident Fund Commissioner for consideration.

- vi. Moreover, the above instructions should be given effect to invariably in all cases and where any defaulting employer has not complied with any one or more of these requirements, his/her request for withdrawal of the prosecutions may straight away be rejected without any reference to the Central Provident Fund Commissioner to avoid protracted correspondence and wastage of time.
- vii. The Regional Provident Fund Commissioner in charge of the region is required to recommend the withdrawal of prosecution in respect of cases arising from the District Offices under his jurisdiction duly furnishing the complete particulars of the case. All proposals shall be routed through ACC-in-charge of the Zone alongwith his/her comments.
- viii. However, in case of prosecutions filed for non-complying with the KYC requirements, power to withdraw prosecution has been delegated to RPFC for withdrawal of prosecutions subject to conditions as under:

- The employer should request for withdrawal of prosecution by application before the RPFC/Competent Court as he deems fit.
- The application shall be only for prosecution filed for non-filing/non-submission of KYC document(s) of the member(s) of the Scheme.
- Subsequent to filing of the said prosecution case the employer must have made necessary compliance for the concerned employees' required KYC document(s).
- The employer shall submit an undertaking to comply with the statutory provisions for filing/submission of KYC document(s) in future.
- Further, the cost of legal and other expenses incurred during the course of prosecution should not be demanded.

5.2.6 Compensation under Section 357 of Code of Criminal Procedure, 1973

- i. The court, on convicting the accused under Section 255, may order at its discretion under Section 357, any part of the fine (to be imposed on the accused) to be applied among other things-
 - In defraying the expenses properly incurred in the prosecution;
 - In payment of compensation for any loss or injury to the complainant.

- ii. The Inspector, is therefore, advised to make specific prayers for awarding expenses in the complaints (being incurred by the office) which shall include travelling expenses from his/her headquarters to the court on each day of appearance, incidental expenses such as typing, cost of papers and all other expenses incidental thereto.
- iii. Prayer shall also be made for awarding compensation from out of the fine being imposed on the accused which shall be equivalent to the amount due and outstanding from the accused towards Provident Fund and other dues for the period for which such complaints are filed in the court. Normally, court will be reluctant to pass order of such compensation unless it is strongly prayed for. The Enforcement Officers should, therefore, make it a point to specifically include prayers for compensation in all complaints filed against the accused.

5.2.7 Limitation for Prosecution - Section 468 of Code of Criminal Procedure

- i. There was a conflict of judicial opinion in the matter whether the offences prescribed under this Act were continuing offences or barred by limitation prescribed under Section 468 of the Code of Criminal Procedure, 1973.
- ii. The dispute has however been settled in case of non-payment of contributions in ***Bhagirath Kanoria v/s State of MP case [1984 AIR (SC) 1668 (SC 2J)]*** where the Hon'ble Apex Court has held that "non-payment of the employer's contribution to the Provident Fund before the due date, is a continuing offence and, therefore, the period of limitation prescribed by sec 468 of the Code cannot have any application. The offence which is alleged against the appellants will be governed by sec 472 of the Code, according to which, a fresh period of limitation begins to run at every moment of the time during which the offence continues." However, the position in case of non-submission of returns is still fluid. Hon'ble Bombay High Court in ***Transport Corporation of India v/s R.M. Gandhi case [1991 LIC 2017]*** referring to a judgment of Hon'ble Supreme Court has held that "Failure to pay the contributions is altogether a different kettle of fish. There is a vital distinction between an offence of failure to pay the contributions and an offence of failure to file the statutory returns by the due date. In *State of Bihar v. Deokaram Monshi*, the Supreme Court considered such a situation and pointed out that the failure to file statutory returns would be a breach or an offence which occurs once for all and would not be a continuing offence."

468. Bar to taking cognizance after lapse of the period of limitation. — (1) Except as otherwise provided elsewhere in this Code, no Court shall take cognizance of an offence of the category specified in sub-section (2), after the expiry of the period of limitation.

(2) The period of limitation shall be—

(a) six months, if the offence is punishable with fine only.

(b) one year, if the offence is punishable with imprisonment for a term not exceeding one year.

(c) three years, if the offence is punishable with imprisonment for a term exceeding one year but not exceeding three years.

[(3) For the purposes of this section, the period of limitation, in relation to offences which may be tried together, shall be determined with reference to the offence, which is punishable with the more severe punishment or, as the case may be, the most severe punishment.]

472. Continuing offence. —In the case of a continuing offence, a fresh period of limitation shall begin to run at every moment of the time during which the offence continues

5.2.8 Transfer of complainant

- i. Inspectors are the complainants in the prosecution cases. Wherever a complainant is transferred after filing of prosecution, the present incumbent may appear by making a prayer before the Court for not insisting for the appearance of original complainant and conduct the prosecution cases and tender witness on behalf of complainant, wherever the question arises (Section 200 of Code of Criminal Procedure, 1973).

200. Examination of complainant. —A Magistrate taking cognizance of an offence on complaint shall examine upon oath the complainant and the witnesses present, if any, and the substance of such examination shall be reduced to writing and shall be signed by the complainant and the witnesses, and also by the Magistrate:

Provided that, when the complaint is made in writing, the Magistrate need not examine the complainant and the witnesses—

(a) if a public servant acting or purporting to act in the discharge of his official duties or a Court has made the complaint; or

(b) if the Magistrate makes over the case for inquiry or trial to another Magistrate under section 192:

Provided further that if the Magistrate makes over the case to another Magistrate under section 192 after examining the complainant and the witnesses, the latter Magistrate need not re-examine them.

5.2.9 Criminal Breach of Trust

- i. Section 405 of the Indian Penal code and explanation 1 under it read thus:

***“405. Criminal breach of trust.*—Whoever, being in any manner entrusted with property, or with any dominion over property, dishonestly misappropriates or converts to his own use that property, or dishonestly uses or disposes of that property in violation of any direction of law prescribing the mode in which such trust is to be discharged, or of any legal contract, express or implied, which he has made touching the discharge of such trust, or wilfully suffers any other person so to do, commits “criminal breach of trust”.**

***[Explanation 1].*—A person, being an employer of an establishment whether exempted under section 17 of the Employees’ Provident Funds and Miscellaneous Provisions Act, 1952 (19 of 1952) or not who deducts the employee’s contribution from the wages payable to the employee for credit to a Provident Fund or Family Pension Fund established by any law for the time being in force, shall be deemed to have been entrusted with the amount of the contribution so deducted by him and if he makes default in the payment of such contribution to the said Fund in violation of the said law,**

shall be deemed to have dishonestly used the amount of the said contribution in violation of a direction of law as aforesaid.”

- ii. Thus, where an employer after deducting the employees’ share from their wages fails to remit the contributions so deducted within the stipulated time, he shall be deemed to have committed an offence of criminal breach of trust as explained in Section 405 of the Indian Penal Code, which is punishable under Section 406 and 409 of the Indian Penal Code.
- iii. **The Enforcement Officers need not wait for the sanction of the Regional Provident Fund Commissioner for prosecution of the accused for the above offence.** Once detected, complaint in this regard should be made to the Police Station concerned immediately. Before initiating such action, however, it should be ensured that the wages for the relevant period of default of employees’ share are disbursed to the members.
- iv. The EO should lodge the complaint (FIR) with the police authorities after collecting all basic documentary evidence such as salary registers etc., so as to build up a strong case against the accused for criminal breach of trust.
- v. Case filed under this provision is usually not withdrawn as the same is between the State and the Offender. However, if the employer pays the dues involved promptly or within a short period of say 15 days to one month from the date of filing of the FIR & also has reported prompt compliance during subsequent period, proposal may be sent for CPFC’s approval for withdrawing the case. In that case, on approval of CPFC, the state authorities may be informed that the complainant has no objection to the State dropping the case against the said employer.

5.2.10 Proceedings under provisions contained in Section 110 of the Code of Criminal Procedure, 1973

- i. Apart from prosecution & FIR, complaint may also be filed before the Executive Magistrate for securing good behaviour from habitual offenders under section 110 of CrPC.

- ii. Extract of Section 110 of the Code of Criminal Procedure, 1973.

Security for good behavior from habitual offenders	When an Executive Magistrates receives information that there is within his local jurisdiction a person who- (f). habitually commits, or/attempts to commit, or abets the commission of- (i) any offence under one or more of the following acts, namely- (c) the Employees' Provident Funds and Miscellaneous Provisions Act, 1952 Such Magistrate may, in the manner hereinafter provided, require such person to show cause why he should not be ordered to execute a bond, with sureties for his good behavior for such period, not exceeding three years, as the Magistrate thinks fit.
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- iii. The objective of this Section is prevention. It is to be used solely for the purpose of securing future good behaviour. The proceedings under Section 110 of Code of Criminal Procedure, 1973 are intended to be cautionary and are not considered coercive. Action under Section 110 of Code of Criminal Procedure, 1973 is highly effective. Its provisions should be fully exploited. The procedure is not only simple but expeditious also because the Courts are to complete the proceedings within a period of six months.
- iv. It is therefore advised that immediate steps be taken for getting filed the applications through area Enforcement Officers under Section 110 of Code of Criminal Procedure, 1973 against persistent/chronic defaulter having default of Rupees Fifty Thousand and more before Executive Magistrate/City Magistrate/Sub-Division Magistrate of the area to execute bond with surety for rendering good behaviour in future. The complaint should be made in the prescribed form. **(ST 10).**

*****CHAPTER END*****

CHAPTER 6 : HANDLING OF COMPLIANCE ISSUES IN INSOLVENCY & BANKRUPTCY CASES

6. Handling of Compliance Issues in Insolvency & Bankruptcy Cases¹

6.1 Introduction

- 6.1.1 The Insolvency & Bankruptcy Code (IBC) aims to consolidate and amend the laws relating to reorganization and insolvency resolution of corporate persons, partnership firms, and individuals in a time-bound manner.
- 6.1.2 IBC and the regulations made thereunder have provisions for safeguarding interests of workmen and employees. In particular, the EPF dues form the part of third-party assets held in trust, which is outside the liquidation estate. These provisions must be fore-fronted in all the cases pertaining to IBC.
- 6.1.3 Further, initiation of IBC proceedings in a court has a gestation period, which should be utilized by EPF officials to ensure that EPF dues are assessed and recovered well before initiation of formal proceedings under the IBC. Therefore, it is important to understand the mechanism of Corporate Insolvency & Resolution Process (CIRP) and thus optimally utilize the time available between filing of application by companies and initiation of the resolution process.
- 6.1.4 The relevant sections of IBC are 18, 25, 30, 36, 42 and 60 (5) which should be thoroughly read and understood by EPF officers for representing the interest of PF members before the Adjudicating Authority [National Company Law Tribunal (NCLT)].

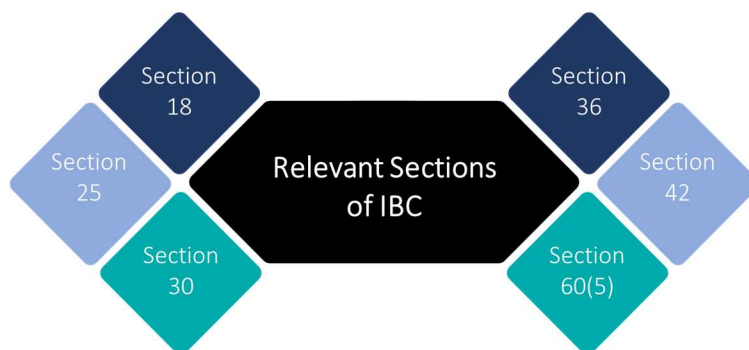


Figure 10 : Relevant Sections of IBC

¹ *SOP for handling IBC cases (**Annexure B**) should be referred to for detailed discussion of relevant sections of IBC, case laws as well as roles & responsibilities and procedure to follow. Purpose of this chapter is to give an overview of compliance actions required to be taken in such cases.

6.2 Action for Assessment and Recovery of Dues Prior to Commencement of CIRP

- 6.2.1 There is substantial time gap between the time of submission of application by a creditor and the time of initiation of Corporate Insolvency & Resolution Process (CIRP). Once the application is admitted, CIRP starts, Interim Resolution Professional (IRP) is appointed & the moratorium gets imposed.
- 6.2.2 This window of time is, therefore, most crucial and must be utilised properly and judiciously to check and ensure that all PF dues, interest, and damages are assessed, levied, and collected in full to safeguard the interest of PF members.
- 6.2.3 Till the time a mechanism for auto-collection of information from IBBI is worked out and alert system developed, Vertical Head V3 (Legal Cases-I) of Recovery and Legal Division at Head Office shall collect the information and detail about applications (including PAN) made before IBBI monthly within 3 working days of the following month. The Vertical Head is further required to undertake the following steps:
- i. identify in conjunction with IS division the covered establishments and the Field Offices where these are registered. External data sources viz. GST portal, etc may also be utilised for identifying the branches of multi-locational establishments.
 - ii. transmit the information to other divisions of Head Office (Compliance, CAIU, Legal Vertical) and the ZO.
- This exercise should also be completed within 3 working days since collection of information from IBBI.
- 6.2.4 Zonal Offices are required to inform all concerning ROs by the next working day from receipt of information at ZO, to undertake desk review of such identified establishments to ascertain default.
- 6.2.5 The ROs must make sure that compliance Circle Officer undertakes desk review, ascertains likelihood of default, and ensures necessarily follow up action. The desk-review must be completed within 5 working days of receipt of information from ZO.
- 6.2.6 The Compliance Circle would ensure that even when the establishment is not in default, it is properly verified whether all damages have been levied and due interest and damages have been recovered.

- 6.2.7 After conclusion of Desk review, if required, the Compliance Circle should initiate pending action viz. inspection and assessment, particularly, when the establishment is in default. Pre-emptive actions such as initiation of proceedings for levy of damages, making demand of interest and initiation of action for recovery of outstanding dues must be started within 3 working days from completion of desk-review.
- 6.2.8 As per HO circular dated 04/09/2023, containing SOP for Inspection, the cases pertaining to Insolvency or Liquidation of establishments fall under the category 'require Urgent/Emergency Physical Inspection' where there is no requirement to seek permission or go through the drill of nudging as expedient actions are of essence here.
- 6.2.9 The RPFC in charge of RO must assign inspection of such establishments on Shram Suvidha Portal (SSP) while mentioning reasons in remarks. The assignment and completion of inspection should not ordinarily take more than seven (7) working days.
- 6.2.10 On receipt of Inspection Report, Compliance Circle officer will ascertain need of an inquiry to assess the dues. In case inquiry is required RPFC in charge of RO will assign the assessment proceedings and cause it to be initiated within three (3) working days of receipt of the Inspection Report.
- 6.2.11 The inquiry to assess the dues shall have to be fast tracked for early conclusion and subsequent recovery actions
- 6.2.12 Special Recovery Certificates are to be issued invariably in all such cases on the date of upload of the final order itself. The same is to be informed to the ZO within three (3) days of issue of Special Recovery Certificate and through it to the Recovery and Legal Division of Head Office.
- 6.2.13 On receipt of intimation of issuance of special RRC, Recovery Division at HO must create a flag and monitoring of such cases are to be undertaken at RO, ZO & HO level. All out efforts should be made to recover the dues at the earliest.

- 6.2.14 The Regional Commissioner in charge of RO must monitor the progress on a weekly basis, while the ZO concerned and Compliance, Recovery & Legal Divisions at HQ does so on a fortnightly basis.
- 6.2.15 All efforts shall be made to secure up to date compliance from establishment well before the CIRP starts. All pending dues should be assessed/levied & recovered by the time CIRP starts.
- 6.2.16 Yet, in cases wherever, actions to secure compliance (by way of assessments and recovery), remain unfinished at the time of admission of application before the NCLT, the procedure mentioned at 6.4 (b) onwards should be followed.

6.3 Initiation of CIRP and Follow-Up Action by EPFO

- 6.3.1 IBBI website provides information regarding initiation of the insolvency resolution process of a company. Subscriber alerts are provided to users registered with IBBI for the purpose. It also provides detailed status of each Corporate Debtor for individual case inquiry.
- 6.3.2 EPFO (Recovery & Legal Division, EPF HQ) has an arrangement with IBBI for receipt of all notices under IBC at one common desk. The Recovery & Legal Division will ensure that all EPF field offices are registered on IBBI portal for subscriber alerts for cases under CIRP.
- 6.3.3 Under this arrangement all notices issued under CIRP are received at Recovery Division, HO on monthly basis to the email ID dir.recovery@epfindia.gov.in and then transmitted to the jurisdictional offices along with the following details:

Column no.	Column header	Description
A	CD Name	Name of the company
B	CIN	Corporate Identification Number of the Company
C	PAN	Permanent Account Number of the Company
D	Date of Admission	Date in which the company was admitted into the corporate insolvency resolution process (CIRP) by an order of the Adjudicating Authority (NCLT)
E	Date of Public Announcement	Date in which admission of the company into CIRP was announced in the public domain through newspaper and claims was invited from creditors
F	Status of CIRP	Status of the CIRP of the company as of 30 May 2022. Please see Note below.

G	Applicant Name	Name of the creditor who initiated the CIRP
H	IP Name	Name of the insolvency professional (IP) who makes the public announcement (Interim resolution professional / resolution professional / liquidator)
I	IP Registration Number	Unique registration number of the insolvency professional with the IBBI
J	IP Email	Email address of the IP
K	IP Contact Number	Contact number of the IP
L	IP Address	Registered address of the IP
M	Address of CD	Registered address of the company
N	Last date of submission of claims	The last date for submission of claims as per the public announcement. (All government dues are treated as operational credit and the claims should reach the IP within such date)

6.4 Procedure to be followed when CIRP has started

- 6.4.1 The specified timelines for various stages under CIRP should be strictly adhered to. The timeline as provided in Regulation 40A (IBBI Regulations, 2016) for intimation of EPF dues is 90 days. This timeline is subject to periodic modification and should be tracked regularly by HO, ZO & RO.
- 6.4.2 All pending action of quantification of dues should be completed and wound up without further delay by assessing officers to meet the timeline. Requisite Inquiries/ proceedings should be conducted on day-to-day basis and decided expeditiously.
- 6.4.3 The IRP being the employer is a necessary party² to such adjudication. Notice of such proceedings must invariably be served upon the Insolvency Professional concerned, and his submissions should be dealt with appropriately in the proceedings.
- 6.4.4 At this stage no recovery action should be initiated for the dues quantified in the assessment orders/outstanding at the time of initiation of CIRP. The ACC in charge of Zone shall intimate the quantified and unrecovered EPF dues to the Resolution Professional in the manner specified in LFD.

² Section 25(1)(b) IBC 2016 – The Resolution Professional shall represent and act on behalf of the corporate debtor with third parties, exercise rights for the benefit of the corporate debtor in judicial, quasi-judicial or arbitration proceedings.

- 6.4.5 Wherever registered office of the Corporate Debtor as per Ministry of Corporate Affairs (MCA) data is at different RO location, the ZO of this RO location, shall coordinate with the ZO of MCA location for information exchange and to get the intimation of outstanding dues filed.
- 6.4.6 Similarly, the ACC of ZO shall also ensure intimation of dues to the IRP or liquidator concerned, as per Annexure A of the LFD (**ST 15**). This should be submitted immediately, on conclusion of all inquiries/proceedings which may have spilled over beyond the date of initiation of CIRP.
- 6.4.7 In case IRP takes a position that Section 14 of IBC bars any assessment proceedings under the Act, EPF official should inform and forcefully represent to IRP that the moratorium extends only to recovery action and not to any inspection or assessments.
- 6.4.8 Once the outstanding EPF dues are intimated to the IRP, progress of the resolution process should be reviewed regularly at the level of ZO. Any information/clarification sought by the IRP should be replied quickly and accurately.
- 6.4.9 If IRP disputes the position of law or admits only partial dues, application should be immediately filed by ZO before NCLT under Section 60(5) of IBC. [Section 42 IBC] within 15 working days of rejection of notice of dues.

6.5 Procedure for Multi-Location Establishments

- 6.5.1 For Multi-locational establishments, the ZO-II (Zonal Office situated under the jurisdiction of NCLT) shall be the coordinating office. All ZO-Is in whose jurisdiction establishments of the Company under CIRP are situated would report to the ZO-II. This is limited for the action to be taken by EPFO in IBC proceedings before NCLT.
- 6.5.2 Within **15 days** of receiving information of filing of application for initiation of resolution proceedings, the ZO-II, must convene a virtual meeting with all ZO-Is where progress/stage of insolvency of the Corporate Debtor shall be briefed to the ZO-II for legal action and assistance.
- 6.5.3 IRP should also be notified to attend the meeting to finalise consolidated dues and clarify their position with respect to PF dues.

6.6 Admissibility of Appealed/Litigated Dues

It is also possible that establishment may have disputed the dues before going into Insolvency. In such cases mere filing of appeal before CGIT or litigating against assessment does not grant immunity to Corporate Debtor from recovery of PF dues

IRP should be advised to clearly spell out details of appeal in Information Memorandum (based on which Resolution Plans are to be submitted). [Rule 36(2) IBBI Regulations 2016]

It should also be clarified that liability once decided shall be borne by Successful Resolution Applicant (SRA) in consonance with Section 17B of EPF & MP Act, 1952

Figure 11 : Admissibility of Appealed/Litigated Dues

6.7 Remedies – Procedure for Appeals

6.7.1 In cases where the EPF dues are not admitted/ partially admitted / rejected by NCLT, an appeal should be preferred within **30 days** before NCLAT. The jurisdictional ZO would obtain recommendations of Zonal Legal Committee and file an appeal before NCLAT. The instructions contained in Legal Framework Document requiring approval of CPFC before filing such an appeal has been modified to that extent vide SOP for handling IBC cases issued on 25.11.2023.

6.7.2 If the EPF dues are not allowed even by NCLAT, the proposal is to be forwarded by the ACC of the Zone which had been handling the matter within **7 days** of pronouncement of such order to Legal Division, Head Office to challenge the same before Hon'ble Supreme Court **within 21 days** of the order.

6.8 Post CIRP Issues



It is possible that post completion of CIRP/Liquidation field offices are faced with legacy cases of unadmitted PF dues. This may be due to non-availability of sufficient assets, non-traceability etc.



In such cases, recovery action for the pending dues would have to be resorted to against the Employer **under Section 2(e) of the EPF Act** in his personal capacity under **Section 8B**

Figure 12 : Post CIRP Issues

6.9 Relevant Case Laws

- 6.9.1 EPF dues are not operational debts under IBC. They are essentially third-party dues in the companies/ establishments. The EPF dues are not the assets of the company to be distributed among creditors, they are workmen dues and must be paid before applying the waterfall mechanism for other creditors.
- 6.9.2 EPF dues are monies belonging to the employees, to be handed over by employers to EPFO for investment and safekeeping. The entrustment of these monies with the employers is merely a collection mechanism and is required to be understood as an unredeemed operational debt under IBC. The dues under EPF & MP Act are neither debt owed to EPFO nor to the employees, hence Committee of Creditors (CoC) cannot decide on these dues. While deciding on the statutory debt, the dues of EPF & MP Act need to be kept outside by the CoC.
- 6.9.3 This has been reaffirmed in a catena of judgments by Hon'ble Supreme Court and NCLAT such as:
- i. Kushal Ltd. vs Regional Provident Fund Commissioner-I, Civil Appeal No.1920 of 2020, decided on 20-05-2020 (SC);
 - ii. Jet Aircraft Maintenance Engineers Welfare Association v. Ashish Chhawchharia&Ors. [(2022) SCC On-Line NCLAT 418] dated 21/10/2022; and
 - iii. Sikander Singh Jamuwal v. Vinay Talwar Resolution Professional and Others [Company Appeal (AT) (Ins)No. 483 of 2019] dated 11.03.2022 before NCLAT etc.
 - iv. The Hon'ble Supreme Court in Sunil Kumar Jain and Ors Vs. Sundaresh Bhatt and others – Civil Appeal 5910 of 2022 has held that Section 36(4) of the IB Code has clearly given outright protection to workmen's dues under provident fund, gratuity fund and pension fund, which are not to be treated as liquidation estate assets and the liquidator shall have no claim over such dues".
 - v. Hon'ble NCLT Mumbai in the matter of Precision Fasteners Ltd vs. EPFO held that
....The right of all other creditors over the assets of the company is a property right, whereas workmen dues, more specially PF dues of workmen, are interwoven with Right to Life because the workmen all through their life save some portion of the hard earnings for their later life after retirement, if such sums are being interlinked on par with debts of the creditors of the company, secured

or unsecured as the case may be, then it is nothing but diluting most valuable and inalienable right of a person on par with a property right subordinate to right to life

- vi. The Hon'ble Supreme Court in the State Tax Officer v. Rainbow Papers Ltd. [2022] has held that if a resolution plan approved by the CoC disregards statutory demands payable to a secured creditor, including the State under the GVAT Act or any legal authority, the NCLT is bound to reject the said resolution plan. The Supreme Court dismissed a batch of review petitions filed against a 2022 judgment on 31-10-2023.
- vii. Such demand of the outstanding EPF dues, therefore, should be raised by intimating to the IRP. This position of law has been upheld by NCLAT Delhi in Company Appeal No 414 of 2020 in the matter of Mohan Lal Jain, Liquidator of Kaliber Associates Pvt Ltd vs Income Tax Officer and Hon'ble Supreme Court in Sundaresh Bhatt vs Central Board of Indirect Taxes and Customs.

*****CHAPTER END*****

CHAPTER 7 : ESTABLISHMENT MASTER UPDATION

7. Establishment Master Updation

7.1 Introduction

- 7.1.1 Analysis of data reveals a yawning gap between the total number of establishments registered, those marked closed and those complying under the Act on regular basis. As many as over 48% of the registered establishments which are not marked 'closed' are in non-compliance either since the date of coverage or have last contributed more than 24 months back [last contributory wage month (LCWM)]. Status of these establishments-whether in actual default or closed/ not working- is not known for sure though the pattern of compliance does indicate that most of these might not be functioning.
- 7.1.2 It is therefore required that establishment-master cleaning exercise be done on regular basis to identify the dead wood & to know the actual workload so as to utilise the limited manpower/ resources available optimally & meaningfully.
- 7.1.3 Therefore, the term 'closure' used in this chapter should not be confused with "closure" as defined under the Industrial Disputes Act, 1947 where it means permanent closing down of a place of employment or part thereof [Section 2(cc)]. Here the term is used as an administrative arrangement for identifying and segregating the establishments not found active in matters of compliance under the EPF & MP Act, 1952.
- 7.1.4 It may be kept in mind that marking an establishment 'closed' does not preclude/prevent any action, if need arises, to bring the establishment back to the compliance fold.
- 7.1.5 Keeping the limitations in view, ascertaining the status through data-triangulation should be the first step.

7.2 Verification of Status through GST Portal

- 7.2.1 SOP on 'Bridging the Gap between registered and complying establishments' utilising the GST portal, an exercise in this direction, has already been issued vide circular no. Compliance/Bridging the Gap/2022/2400 dated 07.12.2023. **(Annexure C)**
- 7.2.2 Establishments registered under the EPF & MP Act are usually business entities and to carry on their business activity are required to register and make compliance under the Goods & Services Tax (GST), which came into effect from July 01st, 2017.
- 7.2.3 Compliance under the GST Act is made through GSTIN allotted to an establishment in any state/(s) against its PAN. Furthermore, as the compliance under the GST regime is actively linked to the transactions of Goods & Services, an active GSTIN/(s) is a pre-requisite in this regard. As a corollary, an active GSTIN of an establishment is a confirmation that the establishment is a Live establishment and actively involved in some business activity. Any such live-establishment registered under the EPF & MP Act but found not complying shall have to be brought back into the Compliance fold.
- 7.2.4 Owing to the umbilical connection between the GSTIN & the PAN of an establishment, the website www.gst.gov.in offers the functionality to search a taxpayer through PAN and provides the return filing status of the establishment for up to two years.
- 7.2.5 Registration of establishments under the EPF & MP Act necessarily involves submission of PAN. Hence, the GST portal provides a quickly obtainable & reliable third-party statutory feedback to identify the status of establishments to proceed against these.
- 7.2.6 It is therefore imperative that the status of establishments neither complying nor marked **"closed"** should be first ascertained through data triangulation not only from GST portal but also from the MCA portal and other such facilities as may be available or may become available in future.
- 7.2.7 Those of the non-complying establishments found active/alive on GST portal should be filtered out and action for securing compliance should be initiated in accordance with the SOP on Inspections.

- 7.2.8 SOP on 'Bridging the Gap between registered and complying establishments' (**Annexure C**) discusses in detail the procedure to be followed and defines the roles and responsibilities. The exercise needs to be conducted in accordance with the SOP.

7.3 Establishments Declaring Closure on Nudging

- 7.3.1 Out of the remaining non-complying establishments inactive on GST portal (no GSTIN against the PAN/all assigned GSTINs cancelled/all assigned GSTINs inactive) as well, which furnish relevant documents in support of 'closure' at the e-verification stage of inspection (para 5.3 of the SOP on Inspection r/w para 2B of HO circular no. CAIU/SOP/2022/40 dated 4.9.2023) shall be marked as closed on Unified Portal after verifying the enclosed proofs and ensuring the following:

Date of exit in respect of all employees should be marked by employer in the portal in accordance with para 36(2)(b) of the EPF Scheme, 1952

Contribution/NCP days up to the 'Date of Exit' should be updated by employer in the portal

- 7.3.2 The final filtered down list of non-complying establishments may be segregated into those covered under section 1(4) & section 1(3).

7.4 Marking Closure in Case of Establishments Covered U/S 1(4)

- 7.4.1 Establishments registering on MCA Portal since 23.02.2020 are allotted PF code number automatically. A very large percentage of establishments allotted code number since then are those which have never complied. Therefore, such establishments which are covered under section 1(4) and are not complying may safely be presumed as those neither having the required strength nor desirous of complying under the EPF & MP Act.
- 7.4.2 Actionable status of all establishments having obtained coverage u/s 1(4) and not complying since coverage should be marked as 'closed' (101) after 6 months.

- 7.4.3 Rest of such establishments having obtained coverage u/s 1(4) which are not complying but have remitted contributions for even one month ever, shall be marked 'closed' if all accounts are settled and no contributions have been received during the last 24 months. However, before marking closure it must be ensured that the Act has been made applicable to the said establishment through a notification in the Official Gazette.
- 7.4.4 Remaining establishments covered u/s 1(3)/2A, not complying & found not active on GST portal, shall be further segregated into sections 1(3)(a), 1(3)(b) and 2A coverages.

7.5 Marking Closure in Case of Establishments Covered U/S 1(3)/2A

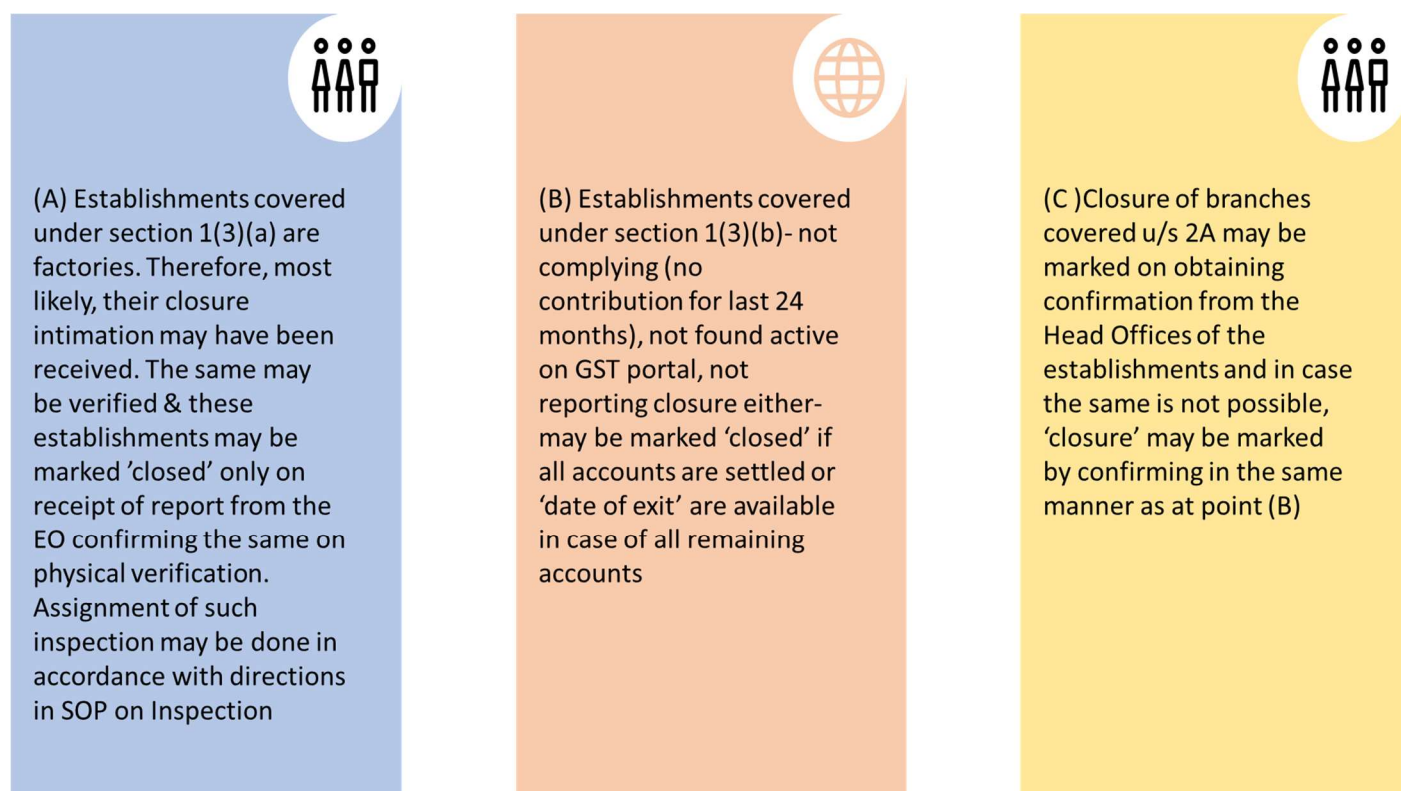


Figure 13 : Marking Closure of Establishments

7.6 List of Defaulting Establishments

- 7.6.1 HO Compliance Division (Vertical I.3) would once in six months- in the first week of July & first week of January- get a list of defaulting establishments generated.
- 7.6.2 The same will be analysed and identified for the purpose of triangulation first by sample checking at Head Office. Sample checking would help in establishing robustness of the list and assumptions made thereof.
- 7.6.3 The list will be communicated through a letter by Vertical I.3 of the Compliance Division HO after due approval of the ACC(HQ)(Compliance).
- 7.6.4 Once the list is received at the Zonal level, ACC of the Zone will send the list of establishments without PAN (hereinafter referred as 'LIST 1') to the RPFC in-charge of the region, who would then distribute it amongst Circle Officers including those posted at District Office.
- 7.6.5 The second list (hereinafter referred as 'LIST 2') of establishments with PAN will have to be verified by the Zonal Office for GST details, wherever available, in the manner prescribed in the 'SOP on Bridging the Gap'. LIST 1 and LIST 2 shall be verified for non-compliance by RO/DO and ZO respectively in the manner described at Annexure-A of the said SOP.
- 7.6.6 Wherever feedback from GST portal is not available and further triangulation is felt necessary the same may be done from Ministry of Corporate Affairs (MCA), Charity Commissioner, Registrar of Societies etc.

*****CHAPTER END*****

**PART B : STANDARD
OPERATING
PROCEDURES(SOPs),
FORMS &
TEMPLATES**

Standard Operating Procedures(SOPs), Forms & Templates			
S.No.	Annexure/ST	Title	Pg. No.
1	Annexure A	SOP for Inspection of Establishments	115
2	Annexure B	SOP for handling IBC cases	143
3	Annexure C	SOP on Bridging the Gap between registered and complying establishments	166
4	ST 1	Consent of EEs for Section 1(4) coverage	185
5	ST 2	Consent-cum-application of ER for Section 1(4) coverage	187
6	ST 3	Proposal for Section 1(4) notification	189
7	ST 4	Summons/Notice for initiation of inquiry/proceedings	190
8	ST 5	Notice to employer u/s 30 CPC	193
9	ST 6	Summons to witness u/s 30 CPC	195
10	ST 7	Warrant to Arrest u/s 32 CPC	196
11	ST 8	Standard proforma for scrutiny of orders	197
12	ST 9	Quarterly report for scrutiny of orders	199
13	ST 10	Complaint u/s 110 Cr.P.C.	200
14	ST 11	SCN before prosecution	202
15	ST 12	Proforma for filing prosecution	204
16	ST 13	Proposal for withdrawal of prosecution & the certificate	205
17	ST 14	Proposal for waiver/reduction of damages	208
18	ST 15	Notice of dues to be filed to IRP/Liquidator	210

PART C : NOTIFICATIONS

List of Industries				
S.No.	GSR/SRO No.	W.E.F	Industries	Pg. No.
1	19	01-11-1952	Cement	225
2	19	01-11-1952	Cigarettes	225
3	19	01-11-1952	Electrical, mechanical, or general engineering products (EM&G)	226
4	19	01-11-1952	Irons and Steel	226
5	19	01-11-1952	Paper	226
6	19	01-11-1952	Textiles (made wholly or in part of cotton, or wool or jute, or silk, whether natural or artificial)	226
7	1566	31-07-1956	Edible Oils and Fats	228
8	1566	31-07-1956	Sugar	228
9	1566	31-07-1956	Rubber and rubber products	228
10	1566	31-07-1956	Electricity including generation, transmission, and distribution thereof	228
11	1566	31-07-1956	Tea (except in the State of Assam where the Government of Assam have instituted a separate Provident Funds Scheme for the industry including plantations)	228
12	1566	31-07-1956	Printing, including the process of composing types for printing, printing of letter press, lithography, photogravure or other similar process or bookbinding, but excluding printing presses, covered under " Newspaper establishments " to which the Employees' Provident Fund Act have been separately extended under Sec. 15 of the Working Journalists (Conditions of Service and Miscellaneous Provisions) Act, 1955	228
13	1566	31-07-1956	Stone-ware pipes	228
14	1566	31-07-1956	Sanitary Wares	228

15	1566	31-07-1956	Electrical porcelain insulators of high and low tension	228
16	1566	31-07-1956	Refractories	228
17	1566	31-07-1956	Tiles	228
18	1566	31-07-1956	Matches	228
19	1566	31-07-1956	Glass	228
20	2026	30-09-1956	Heavy and fine chemical, including :— (i) Fertilizers, (ii) Turpentine ; (iii) Rosing ; (iv) Medical and Pharmaceutical Preparations, (v) Toilet preparations, (vi) Soaps, (vii) Inks, (viii) Intermediates, dyes, colour lacs and, (ix) Fatty acids, (x) Oxygen, acetylene, and carbon-dioxide gases	230
21	2026	30-09-1956	Indigo	230
22	2026	30-09-1956	Lac including shellac	230
23	2026	30-09-1956	Non-edible vegetable & animal oils & fats	230
24	218	31-01-1957	Mineral oil refining industry	231
25	108	30-11-1957	Industrial and Power Alcohol	232
26	108	30-11-1957	Asbestos Cement Sheets	232
27	733	30-04-1958	Biscuit making industry including composite units making biscuits and products such as bread, confectionery and milk and milk powder	233
28	362	31-05-1960	Mica Mines and Mica Industry	234
29	733	30-06-1960	Plywood industry	233
30	733	30-06-1960	Automobile repairing and servicing industry	233

31	733	31-12-1960	Rice Milling	233
32	733	31-12-1960	Dal Milling	233
33	733	31-12-1960	Flour Milling	233
34	535	31-05-1961	Starch industry	235
35	2014	31-06-1961	petroleum or natural gas exploitation, prospecting, drilling or production ;	236
36	2014	31-06-1961	Petroleum or natural gas refining	236
37	2014	31-08-1961	Leather and Leather products industry	236
38	2014	30-11-1961	Stone-ware Jars	236
39	2014	30-11-1961	Crockery	236
40	887	30-04-1962	Fruit and vegetable preservation	238
41	824	30-09-1962	Cashewnuts industry	240
42	504	31-03-1963	Confectionery industry	241
43	666	30-04-1963	Buttons	242
44	666	30-04-1963	Brushes	242
45	666	30-04-1963	Plastic and plastic products	242
46	666	30-04-1963	Stationery products	242
47	1433	31-08-1963	Aerated water, soft drinks, or carbonated water Industry	243
48	1605	23315	Distilling and rectifying of spirits (not falling under industrial or power alcohol) and blending of spirits	
49	93	31-01-1964	Paint and Varnish industry	244
50	127	31-01-1964	Bone crushing industry	248
51	822	23558	Pickers industry	
52	1723	31-12-1964	Milk and milk products industry	249
53	1795	31-01-1965	Non-ferrous metals and alloys in the form of ingots industry	251

54	475	31-03-1965	Bread industry	252
55	823	30-06-1965	Steaming or redrying of tobacco leaf industry.	253
56	969	31-07-1965	Agarbatti (including dhoop and dhoopbatee)	254
57	22	30-09-1965	Coir (excluding the spinning sector) industry	255
58	997	30-06-1966	Tobacco industry, that is any industry engaged in the manufacture of cigars, zarda, snuff, quivaam and guraku from tobacco ;	256
59	1187	31-07-1966	Paper Products industry	257
60	1362	30-09-1966	Licensed salt industry	258
61	553	30-04-1967	Linoleum industry	259
62	553	30-04-1967	Indoleum industry	259
63	1103	31-07-1967	Explosives industry	261
64	1269	31-08-1967	Jute bailing or pressing industry	262
65	1510	31-10-1967	Fireworks and percussion cap work industry	264
66	1795	30-11-1967	Tent making industry	267
67	1017	30-04-1969	Ferro Manganese industry	268
68	1510	30-06-1969	Ice and ice-cream industry	264
69	263	30-11-1971	Winding of Thread and Yarn Reeling industry	270
70	1255	30-09-1972	Cotton ginning,bailing and pressing industry	271
71	843	31-05-1973	Katha making industry	273
72	428	30-04-1974	Beer manufacturing industry	274
73	1400	30-11-1974	Garments making factories	275
74	677	31-05-1977	Beedi industry	277

75	982	31-07-1979	Ferro Chrome industry	279
76	605	31-05-1980	Diamond cutting industry	282
77	614	31-10-1980	Myrobalan extract powder, Myrobalan extract solid and Vegetable Tannin Blended Extract	284
78	665	30-11-1980	Brick industry	286
79	13	01-01-1984	Industries based on Asbestos as principal raw material	290
80	112	16-09-1989	Industries manufacturing iron-ore pellets	292

Classes of Establishments				
S.No.	GSR/SRO No.	W.E.F	Class of Establishments	Pg. No.
1	3411	31-12-1956	Newspaper Establishments	301
2	529	30-04-1957	Tea plantations (Other than the tea plantations in the State of Assam)	302
3	529	30-04-1957	Coffee plantations	302
4	529	30-04-1957	Rubber plantations	302
5	529	30-04-1957	Cardamom plantations	302
6	529	30-04-1957	Pepper plantations	302
7	3376	30-11-1957	Iron Ore Mines	
8	3376	30-11-1957	Manganese Mines	
9	3376	30-11-1957	Limestone Mines	
10	3376	30-11-1957	Gold Mines	
11	3411	30-11-1957	Coffee curing establishments	304
12	583	30-04-1959	Road motor transport establishments	305
13	362	31-05-1960	Mica Mines	306
14	1274	30-11-1960	Cane Farm owned by sugar factories	307
15	783	31-06-1961	Hotels	308
16	783	31-06-1961	Restaurants	308
17	783	31-06-1961	Establishments engaged in the Storage or transport or distribution of petroleum or natural gas or products of either petroleum or natural gas	308
18	827	31-07-1961	Cinemas including Preview theaters	311
19	827	31-07-1961	Film studios	311
20	827	31-07-1961	Film production concerns	311
21	827	31-07-1961	Distribution concerns dealing exposed	311

			films	
22	827	31-07-1961	Film processing Laboratories	311
23	1458	30-11-1960	Every cane farms owned by the owner by the owner or occupier of a sugar factory or cultivated by such owner or occupier or any person on his behalf	312
24	902	30-04-1962	Every trading and commercial establishment engaged in the purchase, sale, or storage of any goods, including establishment of exporters, importers, advertisers, commission agents and brokers and commodity and stock exchanges but not including banks or warehouses established under any Central or State Act	314
25	902	31-10-1962	Establishments engaged in the processing or treatment of wood including manufacture of hardboard, or chipboard, jute or textile wooden accessories, cork products, wooden furniture wooden sports goods, cane or bamboo products, wooden battery separators	314
26	902	31-10-1962	Saw mills	314
27	902	31-10-1962	Wood seasoning kilns	314
28	902	31-10-1962	Wood preservation plants	314
29	902	31-10-1962	Wood workshops	314
30	902	31-12-1962	Bauxite Mines	314
31	902	30-04-1963	Laundry and Laundry services	314
32	902	31-05-1963	Theaters where dramatic performances or other forms of entertainment are held and where payment is required to be made for admission as audience or spectators	314
33	902	31-05-1963	Societies, clubs, or associations which provide board or lodging or both or facility for amusement or any other	314

			service to any of their members or to any of their guests on payment	
34	902	31-05-1963	Companies, societies, associations clubs or troupes which give any exhibition of acrobatic or other performances or both, in any arena, circular or otherwise, or perform or permit any other form of entertainment in any place, other than a theatre, and require payment for admission into such exhibition or entertainment as spectators or audience	314
35	1401	31-08-1963	Canteens	315
36	864	30-06-1964	China clay mines	
37	1398	31-10-1964	Attorneys as defined in the Advocates Act, 1961	316
38	1398	31-10-1964	Chartered or registered Accountants, as defined in the Chartered Accountants Act, 1949	316
39	1398	31-10-1964	Cost and Works Accountants within the meaning of the cost and works Accountants Act, 1959	316
40	1398	31-10-1964	Engineers and Engineering Contractors, not being exclusively engaged in building and construction industry	316
41	1398	31-10-1964	Architects	316
42	1398	31-10-1964	Medical practitioners and Medical Specialists	316
43	1796	31-01-1965	Travel agencies engaged in - (i) Booking of International Air and Sea passengers and other travel arrangements, (ii) Booking of internal air and mail passengers and other travel arrangements and, (iii) Forwarding and clearing of cargo from and to overseas and within India	317
44	1796	31-01-1965	Forwarding agencies engaged in the collecting, packing, forwarding or	317

			delivery of any goods including car loading, break-bulk service, and foreign freight service	
45	1166	31-08-1965	Magnesite Mines	319
46	1837	31-12-1965	Stone quarries producing roof and floor slabs, dimension stones, monumental stones, and mosaic chips	320
47	278	31-01-1966	Banks other than the nationalised Banks established under any Central or State Act	321
48	1592	31-08-1968	Barytes, Dolomite, Fireclay, Gypsum, Kyanite, Siliminite, Steatite Mines	323
49	2083	31-12-1968	Chinchona Plantations	324
50	1508	30-06-1969	Diamond Mines	325
51	14	31-01-1970	Establishments which are exclusively or principally engaged in General insurance business	328
52	731	31-03-1971	Establishments rendering expert services, such as supplying of personnel, advice on domestic or department enquiries, special services in rectifying pilferage, thefts, and pay roll irregularities, to factories and establishment	329
53	505	31-03-1972	Railway booking Agencies run by contractors or other private establishments on commission basis	330
54	1219	31-03-1973	Messes other than Military Messes	333
55	1249	31-08-1973	Hospitals	335
56	1255	30-09-1974	Establishments engaged in Sorting, cleaning, and testing of cotton waste industry	336
57	1401	30-11-1974	Societies, Clubs and associations which render service to their members without charging any fee or membership fee	337

58	268	31-12-1974	Agricultural farms,	339
59	268	31-12-1974	Fruit Orchards	339
60	268	31-12-1974	Botanical Gardens	339
61	268	31-12-1974	Zoological Gardens	339
62	984	30-06-1975	Soap-stone mines and establishments engaged in the finding of soapstone	341
63	1355	31-07-1974	Apartite Mines	343
64	1355	31-07-1974	Asbestos Mines	343
65	1355	31-07-1974	Calcite Mines	343
66	1355	31-07-1974	Ball-clay Mines	343
67	1355	31-07-1974	Corundum Mines	343
68	1355	31-07-1974	Emerald Mines	343
69	1355	31-07-1974	Feldspar Mines	343
70	1355	31-07-1974	Silica (sand mines)	343
71	1355	31-07-1974	Quartz Mines	343
72	1355	31-07-1974	Ochre Mines	343
73	1355	31-07-1974	Chromite Mines	343
74	1355	31-07-1974	Graphite Mines	343
75	1355	31-07-1974	Fluorite Mines	343
76	305	28-01-1977	Glue and gelatin factories	346
77	305	28-01-1977	Stone quarries producing stone chips stone sets, stone boulders, and ballasts	346
78	305	28-01-1977	Establishment engaged in Fish processing and non- vegetable food preservation industry including bacon factories and pork processing plants	346
79	1458	31-12-1978	Financing Establishments (other than banks) not being the Unit Trust of India, the Agricultural Refinance Corporation, the Industrial	353

			Development Bank of India, the Industrial Finance Corporation of India, the State Finance Corporations	
80	462	06-01-1979	Lignite Mines	355
81	605	31-05-1980	Quartzite Mines	358
82	605	31-05-1980	Inland Water Transport Establishments	358
83	592	31-10-1980	Establishments engaged in Building and construction industry	360
84	642	23-11-1981	Establishments engaged in Stevedoring loading and unloading of ships	361
85	437	07-12-1981	Establishments engaged in poultry farming	365
86	437	07-12-1981	Establishments engaged in Cattle feed industry	365
87	986	06-03-1982	(i) Any University, (ii) Any college whether or not affiliated to a University, (iii) Any School whether or not recognized or aided by the Central or a State Government, (iv) Any scientific institution, (v) Any institution in which research in respect of any matter is carried on, (vi) Any other institution in which the activity of imparting knowledge of training is systematically carried on.	368
88	827	31-07-1961	Cinema theatres employing five or more workers as specified in section 24 of the Cine Workers and Cinema Theatre Workers (Regulation of Employment) Act, 1981	370
89	112	25-03-1992	Guar Gum factories	372
90	112	01-04-1992	Marble mines	372
91	112	01-04-1992	Diamond saw mills	372
92	296	01-04-2001	Establishments engaged in rendering Courier Services	374
93	296	01-04-2001	Establishment Aircraft or Airlines other	374

			than the aircraft or airlines owned or controlled by the Central of State Government	
94	296	01-04-2001	Establishments engaged in rendering cleaning & sweeping services	374
95	S.O. 45 (E)	10-11-2005	Establishments engaged in Railways for construction, maintenance, operation, and commercial activities of Railways excluding Indian Railways exclusively managed by Government of India	376
96	1190	27-07-2006	Establishments engaged in manufacture, marketing servicing and usage of a computer/ or deriving any form of output therefrom/or employing it for any type of processing services including software product companies, internet and E-commerce companies, Information Technology services and Remote maintenance companies, Research and development companies systems integrators, on-site service companies and Off- shore software development companies etc.	378
97	3456	08-12-2007	(i) Companies offering life insurance, annuities etc. other than Life Insurance Corporation of India, (ii) Private airports and joint venture airports, (iii) Electronic media companies in private sector, (iv) Lodging houses, service apartments and condominiums	380

PART D : CIRCULARS

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3	Administrative Scrutiny of 7A/ 7B/ 14B cases	24-08-2021	391
4	Instructions for conduct of quasi-judicial proceedings under the EPF & MP Act, 1952	19-01-2021	393
5	Conducting inquiries through e-court software	17.02.2020	395
6	Guidelines for initiation of inquiries u/s 7A of the Act	14-02-2020	397
7	Conduct of virtual hearing in quasi-judicial cases by Assessing Officers through Video Conferencing by use of secure IT applications.	01-10-2020	399
8	Notice to establishments for inspection in the wake of judgement dated 28.02.2019 of Hon'ble Supreme Court of India in Civil Appeal 6221 of 2011 and batch of SLPs	28-08-2019	425
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10	Inspection of defaulting establishments	03-05-2018	428
11	Modification in Inspection Policy in respect of defaulting establishments-Reg.	27-02-2018	430
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13	Instructions regarding conduct of quasi-judicial proceedings in field offices	29-08-2017	436
14	Implementation of e-court software-Revised procedure	24.07.2017	437
15	Jurisdiction to conduct enquiries under Section 7A and 14B by officers in different hierarchies in field offices	22-06-2017	438
16	Arrangement for smooth exercise of powers under sections 7A, 7B, 7C /14B of the EPF & MP Act, 1952 - Administrative scrutiny of the orders -instructions	21-09-2016	439

17	Prompt disposal of pending 7A cases - inclusion of weightage for 7A case disposal for ranking of RO/ SRO in e-Samiksha Portal	01-09-2016	441
18	Inspection of security Manpower /Facility Management Establishments.	01-08-2016	446
19	Administrative Guidelines for Proceedings Under Section 7A of the EPF & MP Act, 1952	15-06-2016	451
20	Guidelines for Quasi-judicial proceedings under Section 7A of the Employees Provident Funds & Miscellaneous Provisions Act 1952	08-02-2016	453
21	Ensuring compliance in respect of multi-location establishments	01-01-2016	455
22	Levy of damages under section 14B-Discretion to vary rate of damages	20.04.2015	457
23	Issue of notices to defaulting establishments on initiation of proceedings under Section 7A / 14B of the Employees' Provident Funds & Miscellaneous Provisions Act, 1952 through e-mail	07-01-2015	459
24	Construction of Central Analysis and Intelligence Unit CAIU in EPFO	29-08-2014	460
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32	Arrangement of Powers under Section 7A, 7B, 7C/14B Order	17-10-2007	494
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कर्मचारी भविष्य निधि संगठन
Employees' Provident Fund Organisation
(श्रम एवं रोजगार मंत्रालय, भारत सरकार)
(Ministry of Labour & Employment, Govt. of India)

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